New Issue – Book Entry Only **See "RATINGS" herein**

Subject to compliance by the Issuer and the Company with certain covenants, in the opinion of Kutak Rock LLP, Bond Counsel, under existing laws, regulations, rulings and judicial decisions, interest on the Bonds is excludable from gross income for federal income tax purposes, except for interest on any Bond for any period during which such Bond is held by a "substantial user" of the facilities financed with Bond proceeds or a "related person" (within the meaning of Section 147(a) of the Internal Revenue Code of 1986, as amended); however, such interest on the Bonds is included as an item of tax preference in computing the federal alternative minimum tax for individuals. In the further opinion of Bond Counsel, under existing laws, regulations, rulings and judicial decisions, the Bonds and the income therefrom are exempt from all taxation in the State of Alabama (the "State"). See "TAX MATTERS" herein for a more complete discussion.

$63,400,000
THE INDUSTRIAL DEVELOPMENT BOARD OF THE CITY OF HOOVER (ALABAMA)
Environmental Improvement Revenue Bonds, Series 2020
(United States Steel Corporation Project)
(Green Bonds)
(AMT)
CUSIP: 439241 AB6*

Dated: Date of Issuance **Maturity Date: November 1, 2050**
Term Interest Rate: 6.375% **Mandatory Purchase Date: November 1, 2030**

The Bonds will bear interest at a Term Interest Rate of 6.375% to but not including November 1, 2030 (the "Mandatory Purchase Date"), subject to adjustment of the Interest Rate Period for the Bonds as described herein. Interest on the Bonds will be paid semiannually on each May 1 and November 1, commencing May 1, 2021, accruing from the date of issuance of the Bonds. The Bonds will be issued as fully registered bonds and initially will be registered in the name of CEDE & Co., as nominee for The Depository Trust Company, New York, New York ("DTC"). DTC will act as a securities depository for the Bonds. Purchases of beneficial interests in the Bonds will be made in book-entry-only form (without certificates) in denominations of $5,000 or any integral multiple thereof, and the Bonds are exchangeable as more fully described herein. Principal will be payable with respect to the Bonds at the designated offices of The Bank of New York Mellon Trust Company, N.A., as Trustee. So long as DTC or its nominee, CEDE & Co., is the registered owner of the Bonds, payment of the principal of and interest on the Bonds will be made directly to CEDE & Co. See "DTC AND THE BOOK-ENTRY SYSTEM" herein.

This Official Statement only describes the Bonds while they bear interest at the Term Interest Rate set forth above.

THE BONDS ARE SPECIAL AND LIMITED OBLIGATIONS OF THE ISSUER. IN NO CASE WILL THE BONDS REPRESENT OR CONSTITUTE A CHARGE AGAINST THE GENERAL CREDIT OF THE ISSUER OR AN INDEBTEDNESS OF THE CITY OF HOOVER, ALABAMA (THE "CITY"), JEFFERSON COUNTY, ALABAMA (THE "COUNTY"), THE STATE OR ANY POLITICAL SUBDIVISION OF THE STATE WITHIN THE MEANING OF ANY STATE CONSTITUTIONAL PROVISION OR STATUTORY LIMITATION OR CONSTITUTE OR GIVE RISE TO A PECUNIARY LIABILITY OF THE CITY, THE COUNTY OR THE STATE OR ANY POLITICAL SUBDIVISION OF THE STATE OR A CHARGE AGAINST THE GENERAL CREDIT OR TAXING POWER, IF ANY, OF THE ISSUER OR OF THE STATE OR ANY POLITICAL SUBDIVISION OF THE STATE. THE BONDS ARE PAYABLE SOLELY FROM THE PLEDGED RECEIPTS. THE ISSUER HAS NO TAXING POWER. SEE "SOURCE OF PAYMENT FOR THE BONDS."

The Bonds are payable solely from revenues derived under the terms of an Agreement of Sale with the Issuer delivered by:

UNITED STATES STEEL CORPORATION

The Bonds are subject to optional, extraordinary optional and extraordinary mandatory redemption prior to maturity, and mandatory purchase prior to maturity, including purchase in lieu of redemption, pursuant to the Indenture, as described herein. See "DESCRIPTION OF THE BONDS — Redemption" and "— Mandatory Tender of Bonds for Purchase" herein.

Prospective purchasers of the Bonds should be aware of certain investment considerations and risk factors in evaluating an investment in the Bonds. PURCHASE OF THE BONDS INVOLVES A SIGNIFICANT DEGREE OF INVESTMENT RISK. See "RISK FACTORS" herein.

Price: 100%

The Bonds are offered when, as and if issued by the Issuer and accepted by the Underwriters, subject to prior sale, to the withdrawal or modification of the offer without notice and to certain other conditions, including the unqualified approval of legality by Kutak Rock LLP, Bond Counsel. Certain legal matters will be passed upon for the Underwriters by their counsel, Ballard Spahr LLP; for the Issuer by Bradley Arant Boult Cummings LLP; and for United States Steel Corporation by Mark Furry, its Associate General Counsel – Corporate and by Burr & Forman LLP. The Bonds are expected to be delivered to DTC in book-entry form on or about November 24, 2020.

BofA Securities

Morgan Stanley **Wells Fargo Securities**

Barclays **Citigroup** **Fifth Third Securities, Inc.** **Goldman Sachs & Co. LLC** **Truist Securities**

November 12, 2020

* CUSIP is a registered trademark of American Bankers Association. The CUSIP number in this Official Statement is provided by CUSIP Global Services LLC, managed on behalf of the American Bankers Association by S&P Global Market Intelligence, a division of S&P Global Inc. The CUSIP number listed is being provided solely for convenience of the bondholders only at the time of issuance of the Bonds and none of the Company, the Issuer, the Trustee or the Underwriters make any representation as to the correctness of, nor shall any of them be responsible for, the accuracy of such number now or at any time in the future.

[THIS PAGE INTENTIONALLY LEFT BLANK]

No dealer, broker, sales representative or other person has been authorized by the Company, the Issuer or the Underwriters to give any information or to make any representations, other than those contained in this Official Statement, and, if given or made, such other information or representations must not be relied upon as having been authorized by any of the foregoing. This Official Statement does not constitute an offer to sell or the solicitation of an offer to buy, nor shall there be any sale of the Bonds by any person in any jurisdiction in which it is unlawful for such person to make such offer, solicitation or sale. The information relating to the Issuer under the heading "THE ISSUER" and "NO LITIGATION" as it relates to the Issuer has been obtained from the Issuer. The Issuer makes no representation, warranty or certification as to the adequacy or accuracy of the information set forth elsewhere in the Official Statement. The Issuer has not reviewed or approved any information in this Official Statement except for the information relating to the Issuer under the headings "THE ISSUER" and "NO LITIGATION" as it relates to the Issuer. The information set forth in Appendix A hereto has been obtained from the Company and is not guaranteed as to accuracy or completeness, and is not to be construed as a representation by the Issuer or the Underwriters. The other information and expressions of opinion herein are subject to change without notice, and neither the delivery of this Official Statement nor any sale made hereunder shall, under any circumstances, create any implications that there has been no change in the affairs of the parties already referred to or that the other information or opinions are correct as of any time subsequent to the date hereof.

The Underwriters have provided the following sentence for inclusion in this Official Statement. The Underwriters have reviewed the information in this Official Statement in accordance with, and as part of, their responsibility to investors under the federal securities laws as applied to the facts and circumstances of this transaction, but the Underwriters do not guarantee the accuracy or completeness of such information.

TABLE OF CONTENTS

Page

INTRODUCTION 1
THE ISSUER 2
APPLICATION OF PROCEEDS 3
GREEN BOND DESIGNATION 3
SOURCE OF PAYMENT FOR THE BONDS 4
DESCRIPTION OF THE BONDS 5
DTC AND THE BOOK–ENTRY SYSTEM 12
THE AGREEMENT 14
THE INDENTURE 18
RISK FACTORS 24
THE TRUSTEE 29
TAX MATTERS 29
LEGAL MATTERS 31
NO LITIGATION 31
CERTAIN RELATIONSHIPS 31
RATINGS 32
UNDERWRITING 32
CONTINUING DISCLOSURE 33
MISCELLANEOUS 34

APPENDIX A — United States Steel Corporation

APPENDIX B — Proposed Form of Opinion of Bond Counsel

APPENDIX C — Form of Continuing Disclosure Agreement

IN CONNECTION WITH THE OFFERING, THE UNDERWRITERS MAY OVERALLOT OR EFFECT TRANSACTIONS WHICH STABILIZE OR MAINTAIN THE MARKET PRICE OF THE BONDS AT A LEVEL ABOVE THAT WHICH MIGHT OTHERWISE PREVAIL IN THE OPEN MARKET. SUCH STABILIZING, IF COMMENCED, MAY BE DISCONTINUED AT ANY TIME.

THE BONDS HAVE NOT BEEN REGISTERED UNDER THE SECURITIES ACT OF 1933, NOR HAS THE INDENTURE BEEN QUALIFIED UNDER THE TRUST INDENTURE ACT OF 1939, IN RELIANCE UPON CERTAIN EXEMPTIONS SET FORTH IN SUCH ACTS. THE REGISTRATION, QUALIFICATION OR EXEMPTION OF THE BONDS IN ACCORDANCE WITH THE APPLICABLE SECURITIES LAW PROVISIONS OF THE JURISDICTIONS WHEREIN THE BONDS HAVE BEEN REGISTERED, QUALIFIED OR EXEMPTED SHOULD NOT BE REGARDED AS A RECOMMENDATION THEREOF. NONE OF THESE JURISDICTIONS NOR ANY OF THEIR AGENCIES HAVE GUARANTEED OR PASSED UPON THE SAFETY OF THE BONDS AS AN INVESTMENT OR UPON THE ACCURACY OR ADEQUACY OF THIS OFFICIAL STATEMENT. ANY REPRESENTATION TO THE CONTRARY MAY BE A CRIMINAL OFFENSE.

$63,400,000
The Industrial Development Board of the City of Hoover (Alabama)
Environmental Improvement Revenue Bonds, Series 2020
(United States Steel Corporation Project)
(Green Bonds)
(AMT)

INTRODUCTION

This Official Statement sets forth information concerning $63,400,000 aggregate principal amount of The Industrial Development Board of the City of Hoover Environmental Improvement Revenue Bonds, Series 2020 (United States Steel Corporation Project) (Green Bonds) (the "Bonds") to be issued by The Industrial Development Board of the City of Hoover (the "Issuer"). The Bonds will be issued under and secured by a Trust Indenture, dated as of November 1, 2020 (the "Indenture"), between the Issuer and The Bank of New York Mellon Trust Company, N.A., as trustee (the "Trustee"). The Trustee will act as registrar (the "Registrar") of and paying agent (the "Paying Agent") for the Bonds. The Bonds are being issued pursuant to the authority and in full compliance with the Act (as defined below). See "THE ISSUER" herein.

Concurrently with the issuance of the Bonds, the Issuer will enter into an Agreement of Sale dated as of November 1, 2020 (the "Agreement") with United States Steel Corporation, a Delaware corporation (the "Company"). Pursuant to the Agreement, the Issuer will provide the proceeds of the sale of the Bonds to the Company for the purpose of financing or refinancing the acquisition, construction, equipping and installation of the Project Facilities (as defined below; see "APPLICATION OF PROCEEDS" herein), and the Project Facilities will be sold by the Issuer to the Company for a purchase price sufficient to pay, when due, the principal or redemption price of, and interest on the Bonds. In addition, the Company has agreed in the Agreement to pay the purchase price of Bonds subject to mandatory tender for purchase as described below under "DESCRIPTION OF THE BONDS – Mandatory Tender of Bonds for Purchase." No Letter of Credit or other credit or liquidity facility will be provided to support the payment of such purchase price. Pursuant to the Indenture, the Issuer will pledge and assign its rights in and to the Agreement (with the exception of certain reserved rights) and to the Pledged Receipts (as defined below under "SOURCE OF PAYMENT FOR THE BONDS") to the Trustee to secure the Bonds.

The Company, as obligor, is concurrently engaged in a separate simultaneous offering of $33,300,000 aggregate principal amount of 6.750% Environmental Improvement Revenue Bonds, Series 2020A (United States Steel Corporation Project) to be issued by the Indiana Finance Authority (the "Indiana Bonds"). The Indiana Bonds are being issued pursuant to a separate Official Statement and are not being offered pursuant to this Official Statement. The current offering and the offering of the Indiana Bonds are independent of one another, and neither of the offerings is contingent upon the successful closing of the other offering.

THE BONDS ARE SPECIAL AND LIMITED OBLIGATIONS OF THE ISSUER. IN NO CASE WILL THE BONDS REPRESENT OR CONSTITUTE A CHARGE AGAINST THE GENERAL CREDIT OF THE ISSUER OR AN INDEBTEDNESS OF THE CITY OF HOOVER, ALABAMA (THE "CITY"), JEFFERSON COUNTY, ALABAMA (THE "COUNTY"), THE STATE OF ALABAMA (THE "STATE") OR ANY POLITICAL SUBDIVISION OF THE STATE WITHIN THE MEANING OF ANY STATE CONSTITUTIONAL PROVISION OR STATUTORY LIMITATION OR CONSTITUTE OR GIVE RISE TO A PECUNIARY LIABILITY OF THE CITY, THE COUNTY OR THE STATE OR ANY POLITICAL

SUBDIVISION OF THE STATE OR A CHARGE AGAINST THE GENERAL CREDIT OR TAXING POWER, IF ANY, OF THE ISSUER OR OF THE STATE OR ANY POLITICAL SUBDIVISION OF THE STATE. THE BONDS ARE PAYABLE SOLELY FROM THE PLEDGED RECEIPTS. SEE "SOURCE OF PAYMENT FOR THE BONDS."

The Bonds are subject to optional, extraordinary optional and extraordinary mandatory redemption prior to maturity, and mandatory purchase prior to maturity, including purchase in lieu of redemption, pursuant to the Indenture, as described herein. See "DESCRIPTION OF THE BONDS — Redemption" and "— Mandatory Tender of Bonds for Purchase" herein.

This Official Statement contains brief descriptions of, among other things, the Issuer, the Company, the Bonds, the Indenture, the Agreement and certain other agreements relating to the Bonds. Such descriptions and information do not purport to be comprehensive or definitive. All references herein to documents and agreements are qualified in their entirety by reference to such documents and agreements and references herein to the Bonds are qualified in their entirety by reference to the form thereof included in the Indenture. Copies of such documents will be available for inspection at the designated office of the Trustee after delivery of the Bonds.

The Indenture and the Agreement require the performance of certain acts necessary to assure that interest on the Bonds is excludable from the gross income of the owners thereof for the purposes of federal income taxation. The Company and the Issuer have each covenanted to perform such acts.

Appendix A to this Official Statement has been furnished by the Company and contains information concerning the Company.

Capitalized terms used herein but not otherwise defined have such meanings as are ascribed to them in the Indenture.

THE ISSUER

The Issuer is a public corporation created and existing under the laws of the State, acting through its duly elected board, duly organized and validly existing under and by virtue of Act No. 648 enacted at the 1949 Regular Session of the Legislature of Alabama (Code of Alabama 1975 § 11-54-80, et seq.), as amended (the "Act"). The Issuer has no taxing power, and any indebtedness incurred by the Issuer does not constitute an indebtedness of the State, the City, the County or any political subdivision of the State, within the meaning or application of any constitutional provision or limitation. The Issuer is authorized under the Act to issue the Bonds. In order to accomplish such action, the Issuer is authorized to enter into and perform its obligations under the Indenture and the Agreement.

THE BONDS ARE SPECIAL AND LIMITED OBLIGATIONS OF THE ISSUER. IN NO CASE WILL THE BONDS REPRESENT OR CONSTITUTE A CHARGE AGAINST THE GENERAL CREDIT OF THE ISSUER OR AN INDEBTEDNESS OF THE CITY, THE COUNTY, THE STATE OR ANY POLITICAL SUBDIVISION OF THE STATE WITHIN THE MEANING OF ANY STATE CONSTITUTIONAL PROVISION OR STATUTORY LIMITATION OR CONSTITUTE OR GIVE RISE TO A PECUNIARY LIABILITY OF THE CITY, THE COUNTY OR THE STATE OR ANY POLITICAL SUBDIVISION OF THE STATE OR A CHARGE AGAINST THE GENERAL CREDIT OR TAXING POWER, IF ANY, OF THE ISSUER OR OF THE STATE OR ANY POLITICAL SUBDIVISION OF THE STATE. THE BONDS ARE PAYABLE SOLELY FROM THE PLEDGED RECEIPTS. SEE "SOURCE OF PAYMENT FOR THE BONDS."

EXCEPT FOR INFORMATION CONCERNING THE ISSUER IN THIS SECTION AND IN THE SECTION CAPTIONED "NO LITIGATION" AS IT RELATES TO THE ISSUER, NONE OF THE INFORMATION IN THIS OFFICIAL STATEMENT HAS BEEN SUPPLIED OR VERIFIED BY THE ISSUER, AND THE ISSUER MAKES NO REPRESENTATION OR WARRANTY, EXPRESS OR IMPLIED, AS TO THE ACCURACY OR COMPLETENESS OF ANY OTHER INFORMATION CONTAINED IN THIS OFFICIAL STATEMENT.

APPLICATION OF PROCEEDS

General

The proceeds of the Bonds will be deposited with the Trustee and held under the Indenture until disbursed by the Trustee to finance or refinance the acquisition, construction, equipping and installation of certain solid waste disposal facilities, including an electric arc furnace and other equipment and facilities (the "Project Facilities"), at the Company's Fairfield Works Mill located in unincorporated Jefferson County, Alabama (the "Plant"), and to pay all or a portion of the costs of issuing the Bonds. See "THE INDENTURE – Application of Bond Proceeds."

No Security Provided by Project Facilities

None of the Project Facilities will provide security for the payment of the Bonds.

GREEN BOND DESIGNATION

General

The proceeds of the Bonds will be used for "eligible Green Projects" within the meaning of the Green Bond Principles of the International Capital Markets Association, specifically within the category of pollution prevention and control, including waste recycling and waste reduction. At least 90% of the net proceeds of the Bonds, after deducting costs of issuance, are expected to be spent on Project Facilities focused on the handling, sorting, processing, treatment and recycling of ferrous scrap metals which are the raw materials for the Company's new metals recycling electric arc furnace ("EAF") at the Plant. The liquid steel which is produced in the EAF, will subsequently be continuously cast into solid, round shapes, and then finally processed into seamless tubular products, so that end customers can convey liquid materials over long distances, safely and reliably. The solid rounds are not currently produced by the Company. The EAF facility, once completed, is expected to operate at a significantly higher scrap recycling rate and with significantly lower emissions of greenhouse gas compared to the Company's existing fully integrated operations at the Plant. This strategy is known as the Company's "Best of Both" whereby the Company combines the benefits of integrated blast furnace and basic oxygen process (BOP) steelmaking using iron ore and coal as common raw materials with those of the electric arc furnace steelmaking using scrap metal as raw material to produce an optimized suite of steel products, both tubular and sheet. Currently, the Company reports a CO_2 intensity (both Scope 1 and Scope 2) of 2.4 ton CO_2/ton raw steel, whereas the Company's EAF facility of which the Project Facilities are a part will have a CO_2 intensity of 0.6 tons CO_2/ton raw steel. In addition, the Company's current average overall corporate recycling rate of steel scrap is approximately 20%-25%. With this "Best of Both" EAF facility, the Company will have a significantly higher steel recycling rate of 80%-90%. The Company expects that the new facility's environmental performance will be consistent with these metrics once the start-up phase is completed, which will necessarily be a transitional period with some lower efficiencies anticipated.

The purpose of designating the Bonds as "Green Bonds" is to provide investors the opportunity to invest directly in bonds that are specifically targeted to support such environmentally beneficial projects.

Because the repayment obligation of the Company with respect to the Bonds is not conditioned on completion of the Project Facilities, holders of the Bonds do not assume any risk directly related to the Project Facilities.

Process for Expenditure Evaluation and Selection

The Company's Treasury department, in consultation with its Environmental Affairs department, will select expenditures based on the eligibility criteria set forth in "Eligible Green Expenditures" above.

Management of Proceeds

The payment of principal or redemption price and interest on the Bonds will be made from the Company's general funds and will not be directly linked to the performance of any eligible Green Projects.

Reporting

The Company has agreed in the Agreement to annually, not later than 180 days after the close of the Company's fiscal year commencing with the fiscal year ending December 31, 2021, deliver a certificate to the Trustee that includes a description of the costs of the Project Facilities funded with the Bonds and the amount of Bond proceeds so applied and stating to the effect that no changes have been made to the Project Facilities that would reasonably be expected to materially adversely affect the environmental benefits of the Project Facilities. Such certificate also will be posted to the Electronic Municipal Market Access ("EMMA") website of the Municipal Securities Rulemaking Board ("MSRB") on an annual basis not later than 180 days after the close of the Company's fiscal year commencing with the fiscal year ending December 31, 2021. Once the Company has spent all of the proceeds of the Bonds, it will submit a final certificate to the Trustee, which is to be posted on EMMA that includes a statement that all of the proceeds of the Bonds have been spent. Thereafter, the Company will no longer be obligated to provide the certificate to the Trustee or to post the certificate on EMMA. The failure of the Company to comply, or to cause compliance with, the requirements of its obligations described in this paragraph, will not be considered an Event of Default under the Agreement or the Indenture.

The Agreement will not require the Company to allocate amounts relating to this offering to eligible Green Projects or take the other actions as described under this heading.

While it is the Company's intention to allocate an amount equal to the proceeds of this offering to eligible Green Projects in the manner described above under this heading and to take the other actions as described hereunder, any failure to do so will not constitute an Event of Default under the Agreement nor require the Company to purchase or redeem any of the Bonds or make any additional payments to Holders or take or refrain from taking any particular action as a result thereof. Any failure to allocate amounts relating to this offering to eligible Green Projects, meet or continue to meet the investment requirements or aspirations of certain sustainability focused investors, or take the other actions as described above under this heading may negatively affect the market price of the Bonds to the extent investors are required or choose to sell their holdings as a result of such failure.

SOURCE OF PAYMENT FOR THE BONDS

The Bonds are special and limited obligations of the Issuer, payment of which is secured by all right, title and interest of the Issuer in and to the following rights and revenues pledged to the Trustee under the Indenture: (a) the Agreement to receive payment or reimbursement of certain fees and expenses, to be held harmless and indemnified, to receive notices, and to give or withhold consent to amendments,

changes, modifications and alterations of the Agreement (such rights, the "Unassigned Issuer's Rights")); and (b) (i) the Installment Payments (as defined below under "THE AGREEMENT – Installment Payments") required to be paid by the Company to purchase the Project Facilities from the Issuer pursuant to the Agreement, (ii) all other moneys received or to be received by the Issuer or the Trustee in respect of the repayment of the Bonds, (iii) all moneys and investments in the Bond Fund and Project Fund, and (iv) all income and profit from the investment of the foregoing moneys (excluding the Unassigned Issuer's Rights and any money or investments in the Rebate Fund under the Indenture or any moneys for the payment of the purchase price of the Bonds subject to mandatory tender for purchase as described below under "DESCRIPTION OF THE BONDS – Mandatory Tender of Bonds for Purchase") (such sources in (b)(i) through (iv), the "Pledged Receipts").

THE BONDS ARE SPECIAL AND LIMITED OBLIGATIONS OF THE ISSUER. IN NO CASE WILL THE BONDS REPRESENT OR CONSTITUTE A CHARGE AGAINST THE GENERAL CREDIT OF THE ISSUER OR AN INDEBTEDNESS OF THE CITY, THE COUNTY, THE STATE OR ANY POLITICAL SUBDIVISION OF THE STATE WITHIN THE MEANING OF ANY STATE CONSTITUTIONAL PROVISION OR STATUTORY LIMITATION OR CONSTITUTE OR GIVE RISE TO A PECUNIARY LIABILITY OF THE CITY, THE COUNTY OR THE STATE OR ANY POLITICAL SUBDIVISION OF THE STATE OR A CHARGE AGAINST THE GENERAL CREDIT OR TAXING POWER, IF ANY, OF THE ISSUER OR OF THE STATE OR ANY POLITICAL SUBDIVISION OF THE STATE. THE BONDS ARE PAYABLE SOLELY FROM THE PLEDGED RECEIPTS. THE ISSUER HAS NO TAXING POWER.

DESCRIPTION OF THE BONDS

General

The Bonds will bear interest at the Term Interest Rate set forth on the cover page hereof for the period (the "Term Interest Rate Period") from the date of issuance thereof (the "Date of Issuance") to but not including November 1, 2030 (the "Mandatory Purchase Date"), subject to adjustment of the Term Interest Rate Period for all or a portion of the Bonds as described below under "Adjustment of Term Interest Rate Period." The Bonds will be issued in the aggregate principal amount, will bear interest payable semiannually on May 1 and November 1 of each year, commencing on May 1, 2021 (each such date, together with the Mandatory Purchase Date and any Conversion Date or redemption date is herein referred to as an "Interest Payment Date"), and will mature on the Maturity Date set forth on the cover page hereof, subject to earlier redemption as described herein. Payment of defaulted interest, if any, will be made to owners of record on a special record date to be fixed by the Trustee.

The following description of the Bonds only describes the Bonds while they bear interest at the Term Interest Rate set forth on the cover page hereof. If any of the Bonds are converted to another Interest Rate Period during or after the Term Interest Rate Period, the affected Bonds must be purchased from the Holders pursuant to the mandatory tender provisions of the Indenture and if such Bonds are remarketed to investors at the new Interest Rate Period it is anticipated that a new official statement or other offering document will be prepared in connection with such remarketing.

The Bonds will be issuable only in fully registered form, in denominations of $5,000 and any integral multiple thereof.

The Bonds will bear interest, calculated on the basis of a 360-day year, comprised of twelve 30-day months, from the most recent date to which interest has been paid or duly provided for or, if no interest has been paid or duly provided for, from the Date of Issuance.

The principal and redemption price of any Bond will be payable when due to the person in whose name such Bond is registered (the "Holder") on the records kept and maintained by the Registrar for registration and transfer of Bonds (the "Register") upon presentation and surrender of such Bond at the designated office of the Trustee or at the office, designated by the Trustee, of any Paying Agent. Interest on any Bond will be paid on each Interest Payment Date, by check or draft mailed by the Paying Agent on that date, to the person in whose name such Bond is registered at the close of business on the fifteenth day of the month preceding the month in which occurs such Interest Payment Date (or, if such day is not a Business Day, the immediately preceding Business Day) (each, a "Regular Record Date") on the Register at the address appearing therein. While in book-entry form, payment of interest for any Bond registered in the name of CEDE & Co. will be made by wire transfer of immediately available funds, or any other manner permitted by the Blanket Issuer Letter of Representations entered into by the Issuer with DTC (the "Letter of Representations"), to the account of CEDE & Co. on the Interest Payment Date or the redemption date.

If and to the extent that the Issuer fails to make payment or provision for payment of interest on any Bond on any Interest Payment Date, that interest will cease to be payable to the person who was the Holder of that Bond as of the applicable Regular Record Date. When moneys become available for payment of such interest, (a) the Trustee will, in accordance with the Indenture, establish a record date (a "Special Record Date") for the payment of that interest which is not more than 15 nor fewer than 10 days prior to the date of the proposed payment, and (b) the Trustee will cause notice of the proposed payment and of such Special Record Date to be sent, not fewer than 10 days prior to such Special Record Date, to each Holder at its address as it appears on the Register (or, in the case of Bonds held in book-entry form, in accordance with DTC's policies and procedures) as of a date not earlier than five days prior to such date of sending and, thereafter, the interest will be payable to the Holders of the Bonds (or their respective predecessor Bonds) at the close of business on such Special Record Date.

If any Interest Payment Date, date of maturity of the principal of any Bonds or date fixed for redemption of any Bonds is a day which is a Saturday, Sunday or other day on which banks located in the city or cities in which the designated offices of the Trustee or any Paying Agent are located are required or authorized to close for general banking business or on which The New York Stock Exchange is closed (any day which is not such a day, a "Business Day"), then payment of interest, principal or redemption price need not be made by the Trustee or any Paying Agent on that date, but that payment may be made on the next succeeding Business Day with the same force and effect as if that payment were made on the Interest Payment Date, date of maturity or date fixed for redemption, and no interest will accrue for the period after that date.

So long as CEDE & Co. is the registered owner of the Bonds, as nominee for The Depository Trust Company, New York, New York ("DTC"), payments of the principal or redemption price of, and interest on the Bonds will be made directly to DTC. Disbursement of such payments to DTC participants is the responsibility of DTC and disbursement of such payments to beneficial owners is the responsibility of DTC participants and indirect participants. See "DTC AND THE BOOK-ENTRY SYSTEM" herein.

Adjustment of Term Interest Rate Period

The Company may elect that the Term Interest Rate Period be adjusted to a different Term Interest Rate Period or to a Fixed Interest Rate Period for all or a portion of the Bonds on any Business Day (other than the Mandatory Purchase Date) on which the Bonds are subject to optional redemption. See the first paragraph under "Redemption" below. The effective date of any such adjustment is referred to herein as a "Conversion Date." The Term Interest Rate Period is to be adjusted to a different Term Interest Rate Period or to a Fixed Interest Rate Period on the Mandatory Purchase Date, which is November 1, 2030. The Bonds so adjusted shall be subject to mandatory tender for purchase on the

Conversion Date and on the Mandatory Purchase Date (see "Mandatory Tender of Bonds for Purchase" below).

The Trustee shall give notice of the proposed adjustments described in the immediately preceding paragraph to the Holders by mail (or, so long as all of the Bonds are registered in the name of DTC or any nominee thereof, to DTC in accordance with the Letter of Representations) not less than fifteen (15) calendar days prior to the proposed Conversion Date. Such notice shall state (i) that the Term Interest Rate Period will be adjusted for all or a portion of the Bonds to a Fixed Interest Rate Period or a different Term Interest Rate Period, as applicable, (ii) the Conversion Date or the Mandatory Purchase Date, as applicable, (iii) that the Holders are required to tender their Bonds for mandatory purchase on such Conversion Date or the Mandatory Purchase Date, as applicable, as described under "Mandatory Tender of Bonds for Purchase" below, (iv) the procedures for such purchase and (v) the principal amount and the Interest Rate Period for the Bonds to be adjusted, including, if applicable, the CUSIP number or letter and numerical designator of such Bonds.

The Company may rescind any election by it of an adjustment of the Term Interest Rate Period for all or a portion of the Bonds as described above prior to the proposed Conversion Date on which the new Interest Rate Period was to begin by giving written notice thereof to the Trustee, the Tender Agent and the Remarketing Agent prior to such proposed Conversion Date. If notice of such rescission is given before the Holders have been notified as described above, then the election by the Company shall be deemed rescinded and of no force or effect. If the notice of such rescission is given after the Holders have been so notified or if the notice of rescission does not become effective for any reason, then the affected Bonds shall be purchased on such proposed Conversion Date and shall be in the Term Interest Rate Period on such proposed Conversion Date and bear such interest as established by the Remarketing Agent in accordance with the provisions of the Indenture.

Redemption

Optional Redemption at the Make-Whole Redemption Price. During the Term Interest Rate Period, the Bonds are subject to optional redemption at any time, in whole or in part, in such amounts as may be specified by the Company, at a redemption price calculated by the Quotation Agent (as defined below), equal to the greater of:

(a) 100% of the principal amount of the Bonds to be redeemed, plus accrued and unpaid interest to, but not including, the date fixed for redemption; or

(b) an amount calculated by the Quotation Agent and provided in writing to the Trustee equal to the sum of the present values of the remaining unpaid payments of principal and interest to be paid on the Bonds to be redeemed, from and including the date fixed for redemption to the Mandatory Purchase Date, discounted from the scheduled due dates for such payments to, but not including, the date fixed for redemption on a semiannual basis at a discount rate equal to the Applicable Tax-Exempt Municipal Bond Rate (as defined below) for the Bonds to be redeemed.

"Applicable Tax-Exempt Municipal Bond Rate" means the "Comparable AAA General Obligations" (as defined below) yield curve rate for the Maturity Date of the Bonds (assuming that on the Maturity Date the principal of the Bonds is payable at 100%) published by Municipal Market Data ("MMD") five Business Days prior to the date fixed for redemption. If no such yield curve rate is established for the applicable year, the "Comparable AAA General Obligations" yield curve rate for the two published maturities most closely corresponding to the applicable year will be determined, and the "Applicable Tax-Exempt Municipal Bond Rate" will be interpolated or extrapolated from those yield

curve rates on a straight-line basis. This rate is made available by MMD and is available to its subscribers at: www.tm3.com. In calculating the Applicable Tax-Exempt Municipal Bond Rate, if MMD no longer publishes the "Comparable AAA General Obligations" yield curve rate, then the Applicable Tax-Exempt Municipal Bond Rate will equal the Municipal Market Advisors Consensus Municipal yield curve rate for the applicable year. The Consensus Municipal yield curve rates are made available daily by Municipal Market Analytics, Inc. through Bloomberg (Command Prompt: CMMA). In the further event that Municipal Market Analytics, Inc. no longer publishes the Consensus Municipal yield curve rate, the Applicable Tax-Exempt Municipal Bond Rate will be determined by the Quotation Agent, based upon the rate per annum equal to the semiannual equivalent yield to maturity of those tax-exempt general obligation bonds rated in the highest rating category by Moody's Investors Service, Inc. and S&P Global Ratings with a maturity date equal to the Maturity Date of the Bonds (assuming that on the Maturity Date the principal of the Bonds is payable at 100%) and having characteristics (other than the rating) most comparable to the Bonds to be redeemed, in the judgment of the Quotation Agent.

"Quotation Agent" means BofA Securities, Inc. or such other bank, underwriter or other financial institution selected by the Company.

Extraordinary Optional Redemption. The Bonds are subject to extraordinary optional redemption at the option of the Company, in whole or in part, at any time, at a redemption price equal to the principal amount of the Bonds redeemed, plus interest accrued thereon to, but not including, the date fixed for redemption, upon the occurrence of any of the following circumstances:

(a) Damage or destruction to any of the Project Facilities or the Plant to such extent that, in the opinion of both the Company's Board of Directors (expressed in a resolution) and an architect or engineer (expressed in a written statement) selected by the Company, both filed with the Trustee, (A) the Plant or such Project Facilities, as the case may be, cannot be reasonably repaired, rebuilt or restored within a period of six months to its or their condition immediately preceding such damage or destruction, or (B) the Company is thereby prevented from carrying on its normal operations at the Plant for a period of six months;

(b) Loss of title to or use of a substantial part of the Plant that is, or of any Project Facilities that are, at the time of such loss of title or loss of use owned and operated by the Company as a result of the exercise of the power of eminent domain which, in the opinion of both the Company's Board of Directors (expressed in a resolution) and an architect or engineer (expressed in a written statement) selected by the Company, both filed with the Trustee, results or is likely to result in the Company being thereby prevented from carrying on its normal operations at the Plant for a period of six months;

(c) A change in the Constitution of the State or of the United States of America or legislative or administrative action (whether local, state or federal) or a final decree, judgment or order of any court or administrative body (whether local, state or federal) which causes the Agreement to become void or unenforceable or impossible of performance in accordance with the intent and purpose of the parties as expressed therein or unreasonable burdens or excessive liabilities to be imposed upon the Issuer or the Company with respect to the Plant or any Project Facilities or the operation thereof; or

(d) The Company has notice or actual knowledge that proceeds of the Bonds, including income from the investment thereof, remain in the Project Fund after completion of the acquisition, construction, equipping and installation of the Project Facilities and the payment of all costs thereof and of the issuance of the Bonds.

Anything in (a) or (b) above to the contrary notwithstanding, if any of the events described in (a) and (b) above occur with respect to part, but not all, of the Project Facilities, the amount of Bonds that may be redeemed shall not exceed an amount derived by multiplying the total principal amount of the Bonds by a fraction (i) the numerator of which is the cost of the affected portion of the Project Facilities and (ii) the denominator of which is the total cost of the Project Facilities. With respect to the event described in (d) above, the principal amount of Bonds that may be redeemed shall not exceed a principal amount equal to the lowest amount divisible by $5,000 equal to or in excess of the remaining proceeds of the Bonds, including income from the investment thereof, and such redemption shall occur within 90 calendar days of the Company's having notice or actual knowledge of such excess proceeds, including investment income therefrom.

Extraordinary Mandatory Redemption. The Bonds are subject to extraordinary mandatory redemption at any time, in whole (or in part, if in the Opinion of Nationally Recognized Bond Counsel (as defined below), such partial redemption will preserve the exclusion from gross income for federal tax purposes of interest on the Bonds remaining outstanding after such redemption) at a redemption price of 100% of the principal amount thereof, plus accrued interest to, but not including, the date fixed for redemption, (a) if it is finally determined by the Internal Revenue Service or a court of competent jurisdiction that the interest payable on the Bonds is includable in the gross income of any owner thereof for federal income tax purposes (other than an owner who is a "substantial user" of the Project Facilities or a "related person," as such terms are used in Section 147(a) of the Internal Revenue Code of 1986, as amended, and regulations and rulings applicable thereto (the "Code")), because of a failure to satisfy the provisions of Section 103 or related sections of the Code, or but for such redemption would be so includable, or receipt by the Trustee of an Opinion of Nationally Recognized Bond Counsel to such effect obtained by the Company and rendered at the request of the Company or (b) at such time and to the extent that the Company notifies the Trustee in writing that the Project Facilities that are still in use at such time are no longer being operated as qualifying exempt facilities under the Code (unless such facilities have simply ceased to be operated). "Opinion of Nationally Recognized Bond Counsel" means a legal opinion of an attorney at law or firm of attorneys of nationally recognized standing in matters pertaining to the exclusion from gross income under federal tax law of interest on bonds issued by states and political subdivisions, and duly admitted to practice law before the highest court of any state of the United States of America.

With respect to clause (a) of the immediately preceding paragraph, any such determination will not be considered final for this purpose unless the Company has been given written notice thereof and, if it so desires, has been afforded the opportunity to contest the same, either directly or in the name of any owner of Bonds and until a conclusion of any appellate review, if sought. Any action by the Company to contest any determination either by the Internal Revenue Service or a court of competent jurisdiction that the interest payable on the Bonds is includable in the gross income of any owner of a Bond for federal income tax purposes (other than an owner who is a "substantial user" of the Project Facilities or a "related person," as such terms are used in Section 147(a) of the Code), either final or otherwise, shall be undertaken with due diligence and dispatch. The Bonds shall be redeemed in whole after such final determination or delivery of such Opinion of Nationally Recognized Bond Counsel to the Trustee unless the redemption of a portion of the Bonds outstanding would have the result that interest payable on the Bonds remaining outstanding after such redemption would not be includable in the gross income of any owner of a Bond for federal income tax purposes (other than an owner who is a "substantial user" of the Project Facilities or a "related person," as such terms are used in Section 147(a) of the Code), and in such event the Bonds shall be redeemed by lot, or in any other manner as the Trustee shall reasonably determine, in such amount as to accomplish that result or, with respect to Bonds held in book-entry form, in accordance with DTC's policies and procedures. Any such redemption shall be made on the earlier of (i) the 120th day after the date such determination becomes final or (ii) the date of delivery of such

Opinion of Nationally Recognized Bond Counsel to the Trustee, or on such earlier date as the Company may designate in writing.

With respect to clause (b) of the second preceding paragraph, any such redemption shall be made on or before the 90th day after the date the Project Facilities are no longer being operated as qualifying exempt facilities under the Code (unless such facilities have simply ceased to be operated), or such later date as may be provided for by the Company. If the Company shall have provided for a later redemption date, the Company will cause to be delivered to the Trustee an Opinion of Nationally Recognized Bond Counsel to the effect that redemption made on such later date will not adversely affect the exclusion from gross income of interest on the Bonds for federal income tax purposes. The Bonds shall be redeemed by lot, or in any other manner as the Trustee shall reasonably determine, or, with respect to Bonds held in book-entry form, in accordance with DTC's policies and procedures, in such amount as to accomplish such extraordinary mandatory redemption.

Selection of Bonds for Redemption. If less than all of the Bonds are called for redemption, the Trustee shall select the Bonds to be redeemed by lot or in any other manner which the Trustee may reasonably determine or, with respect to Bonds held in book-entry form, in accordance with DTC's policies and procedures. All or a portion of any Bond may be redeemed, but only in a principal amount equal to $5,000 or any integral multiple thereof. In the case of a partial redemption of Bonds by lot when Bonds of denominations greater than $5,000 are then outstanding, each $5,000 unit of face value of principal thereof shall be treated as though it were a separate Bond of the denomination of $5,000.

Notice of Redemption. Notice of redemption will be given by the Trustee by sending a copy of the redemption notice at least 30 calendar days prior to the redemption date, to the Holder of each Bond subject to redemption in whole or in part at the Holder's address shown on the Register on the fifth day preceding the sending of such notice, provided that failure to receive notice, or any defect in that notice, as to any Bond shall not affect the validity of the proceedings for the redemption of any other Bond. Such notice shall (a) specify, among other things, the Bonds to be redeemed, their CUSIP numbers, the redemption date, the redemption price and the place or places where amounts due upon such redemption will be payable and, if less than all of the Bonds are to be redeemed, the numbers of the Bonds, and the portions of the Bonds to be redeemed, (b) state any condition to redemption, and (c) state that on the redemption date, and upon the satisfaction of any condition, the Bonds or portions thereof to be redeemed shall cease to bear interest and that a new Bond maturing on the same date and bearing interest at the same rate and in the same principal amount as the unredeemed portion of any Bond redeemed only in part will be registered in the name of and returned to the Holder of any such Bond in exchange therefor.

SO LONG AS THE BOOK-ENTRY SYSTEM IS USED FOR DETERMINING BENEFICIAL OWNERSHIP OF THE BONDS, THE NOTICE OF REDEMPTION FOR THE BONDS WILL BE GIVEN TO CEDE & CO. AS REGISTERED OWNER OF THE BONDS. NEITHER FAILURE TO RECEIVE SUCH NOTICE NOR ANY DEFECT IN ANY NOTICE SO GIVEN SHALL AFFECT THE SUFFICIENCY OF THE PROCEEDINGS FOR THE REDEMPTION OF THE BONDS.

Effect of Redemption. Notice of redemption having been given as described above, and moneys for the payment of the redemption price being held in trust to pay the redemption price of the Bonds or portions thereof so called for redemption, the Bonds or portions thereof so called for redemption shall become and be due and payable on such redemption date, interest thereon shall cease to accrue, such Bonds or portions thereof shall cease to be entitled to any lien, benefit or security under the Indenture and the Holders of the Bonds shall have no rights in respect thereof except to receive payment of the redemption price.

Purchase in Lieu of Redemption. The Company may cause the Bonds (or a portion thereof) to be purchased in lieu of any optional redemption of the Bonds as described above under "DESCRIPTION OF THE BONDS – Redemption – *Optional Redemption at the Make-Whole Redemption Price*." Such option shall be exercised by the Company delivering to the Trustee on or prior to the Business Day preceding the redemption date a written direction specifying that such Bonds shall not be redeemed, but instead shall be subject to mandatory tender for purchase. Upon delivery of such notice, the Bonds specified therein shall not be redeemed but shall instead be subject to mandatory tender for purchase at a purchase price equal to the redemption price at which the Bonds would have been redeemed had they been redeemed, rather than tendered for mandatory purchase, on the date that would have been the redemption date. Following such purchase, the Trustee shall cause the Bonds to be registered upon the direction of the Company and deliver such Bonds as directed by the Company and the Bonds shall bear interest at a Term Interest Rate determined by the Remarketing Agent for a Term Interest Rate Period designated by the Company until the end of such Term Interest Rate Period or until a date designated by the Company at which such Bonds shall be tendered for mandatory purchase in accordance with the provisions of the Indenture. The Company has agreed in the Agreement to pay or cause to be paid any such purchase price in immediately available funds to the Trustee or the Tender Agent, as the case may be, by 4:00 p.m., New York City time, on each day on which such a payment is due and that such obligation will be absolute and unconditional. No purchase in lieu of redemption of the Bonds by or on behalf of the Company shall be deemed to be a payment or redemption of the Bonds or any portion thereof, and such purchase shall not operate to extinguish or discharge the indebtedness evidenced by the Bonds.

Mandatory Tender of Bonds for Purchase

Mandatory Tender for Purchase on Mandatory Purchase Date

All of the Bonds shall be subject to mandatory tender for purchase on the Mandatory Purchase Date at a purchase price equal to 100% of the principal amount thereof plus accrued and unpaid interest thereon, if any.

Mandatory Tender for Purchase on Conversion Date

Each Bond shall be subject to mandatory tender for purchase on the Conversion Date, if any, for such Bond at a purchase price equal to the redemption price payable on such Bond if such Bond were being redeemed pursuant to the provisions described above under "DESCRIPTION OF THE BONDS – Redemption – *Optional Redemption at the Make-Whole Redemption Price*."

Conditions Applicable to Mandatory Tenders

With respect to a mandatory tender:

(i) Not less than 15 calendar days prior to the Mandatory Purchase Date or Conversion Date, as applicable, of Bonds, the Trustee shall give notice to each Holder of affected Bonds of the mandatory tender of such Bonds and that interest will cease to accrue on such Bonds to such Holder on and after the Mandatory Purchase Date or Conversion Date, as applicable, provided funds for such purchase are on deposit with the Trustee or the Tender Agent, as the case may be (the "Notice of Mandatory Tender"), and the Holder of each Bond to be purchased shall tender such Bond for purchase and such Bond shall be purchased or deemed purchased pursuant to the Indenture at the applicable purchase price.

(ii) Payment of the applicable purchase price of each such Bond shall be made by 4:30 p.m. (New York City time), in the same manner as payment of interest on the Bonds, to the Owner of record.

The tendering Direct Participant shall transfer, on the registration books of DTC, the beneficial ownership interests in such Bonds tendered for purchase to the account of the Trustee or a Direct Participant acting on behalf of the Trustee.

(iii) The failure to provide the Notice of Mandatory Tender with respect to any Bond shall not affect the validity of the mandatory tender for purchase of any other Bond with respect to which notice was so given. Any notice mailed (or given to DTC in accordance with the Letter of Representations) will be conclusively presumed to have been given, whether or not actually received by any Holder, Direct Participant or Beneficial Owner.

The Indenture contemplates that the Company will retain a Remarketing Agent, and that the Remarketing Agent will attempt to remarket the Bonds on the Mandatory Purchase Date or Conversion Date, as applicable. In the event that the Remarketing Agent is unable to remarket the Bonds, the Company will be obligated to pay the applicable purchase price of the Bonds on the Mandatory Purchase Date or Conversion Date, as applicable. No Letter of Credit or other credit or liquidity facility will be provided to support the payment of the purchase price on the Mandatory Purchase Date or Conversion Date, as applicable, for the Bonds.

No Additional Bonds

No additional bonds or series of bonds may be issued under the Indenture.

DTC AND THE BOOK–ENTRY SYSTEM

The following information about DTC and the book-entry only system applicable to the Bonds has been supplied by DTC. None of the Issuer, the Company, the Underwriters (as defined below), the Trustee or the Paying Agent makes any representations, warranties or guarantees with respect to its accuracy or completeness.

The Depository Trust Company ("DTC"), New York, New York, will act as securities depository for the Bonds. The Bonds will be issued as fully-registered securities registered in the name of CEDE & Co. (DTC's partnership nominee) or such other name as may be requested by an authorized representative of DTC. One fully-registered Bond certificate will be issued for the Bonds in the aggregate principal amount of the issue and will be deposited with the Trustee as custodian for DTC.

DTC, the world's largest securities depository, is a limited-purpose trust company organized under the New York Banking Law, a "banking organization" within the meaning of the New York Banking Law, a member of the Federal Reserve System, a "clearing corporation" within the meaning of the New York Uniform Commercial Code, and a "clearing agency" registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934. DTC holds and provides asset servicing for over 3.5 million issues of U.S. and non-U.S. equity issues, corporate and municipal debt issues, and money market instruments (from over 100 countries) that DTC's participants ("Direct Participants") deposit with DTC. DTC also facilitates the post-trade settlement among Direct Participants of sales and other securities transactions in deposited securities, through electronic computerized book-entry transfers and pledges between Direct Participants' accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations, and certain other organizations. DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation ("DTCC"). DTCC is the holding company for DTC, National Securities Clearing Corporation and Fixed Income Clearing Corporation, all of which are registered clearing agencies. DTCC is owned by the users of its regulated subsidiaries. Access to the DTC system is also available to others such as both U.S. and non-U.S. securities brokers and dealers,

banks, trust companies, and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly ("Indirect Participants"). DTC has a Standard & Poor's rating of AA+. The DTC Rules applicable to its Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com.

Purchases of Bonds under the DTC system must be made by or through Direct Participants, which will receive a credit for the Bonds on DTC's records. The ownership interest of each actual purchaser of each Bond ("Beneficial Owner") is in turn to be recorded on the Direct and Indirect Participants' records. Beneficial Owners will not receive written confirmation from DTC of their purchase. Beneficial Owners are, however, expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the Bonds are to be accomplished by entries made on the books of Direct and Indirect Participants acting on behalf of Beneficial Owners. Beneficial Owners will not receive certificates representing their ownership interests in Bonds, except in the event that use of the book-entry system for the Bonds is discontinued.

To facilitate subsequent transfers, all Bonds deposited by Direct Participants with DTC are registered in the name of DTC's partnership nominee, CEDE & Co., or such other name as may be requested by an authorized representative of DTC. The deposit of Bonds with DTC and their registration in the name of CEDE & Co. or such other DTC nominee do not effect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of the Bonds; DTC's records reflect only the identity of the Direct Participants to whose accounts the Bonds are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants will remain responsible for keeping account of their holdings on behalf of their customers.

Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants, and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time. Beneficial Owners of Bonds may wish to take certain steps to augment the transmission to them of notices of significant events with respect to the Bonds, such as redemptions, tenders, defaults, and proposed amendments to the Bond documents. For example, Beneficial Owners of Bonds may wish to ascertain that the nominee holding the Bonds for their benefit has agreed to obtain and transmit notices to Beneficial Owners.

Redemption notices shall be sent to DTC. If less than all of the Bonds are being redeemed, DTC's practice is to determine by lot the amount of the interest of each Direct Participant to be redeemed.

Neither DTC nor CEDE & Co. (nor any other DTC nominee) will consent or vote with respect to Bonds unless authorized by a Direct Participant in accordance with DTC's MMI Procedures. Under its usual procedures, DTC mails an Omnibus Proxy to the Issuer as soon as possible after the record date. The Omnibus Proxy assigns CEDE & Co.'s consenting or voting rights to those Direct Participants to whose accounts Bonds are credited on the record date (identified in a listing attached to the Omnibus Proxy).

Redemption proceeds, distributions, and interest payments on the Bonds will be made to CEDE & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts upon DTC's receipt of funds and corresponding detail information from the Issuer or the Paying Agent, on payable dates in accordance with their respective holdings shown on DTC's records. Payments by Participants to Beneficial Owners will be governed by standing instructions and customary practices, as is the case with Bonds held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such

Participant and not of DTC, the Trustee, the Paying Agent, or the Issuer, subject to any statutory or regulatory requirements as may be in effect from time to time. Payment of redemption proceeds, distributions, and interest payments to CEDE & Co. (or such other nominee as may be requested by an authorized representative of DTC) is the responsibility of the Issuer or the Paying Agent, disbursement of such payments to Direct Participants will be the responsibility of DTC, and disbursement of such payments to the Beneficial Owners will be the responsibility of Direct and Indirect Participants.

DTC may discontinue providing its services as depository with respect to the Bonds at any time by giving reasonable notice to the Issuer or the Paying Agent. Under such circumstances, in the event that a successor depository is not obtained, Bond certificates are required to be printed and delivered.

The Issuer may decide to discontinue use of the system of book-entry-only transfers through DTC (or a successor securities depository). In that event, Bond certificates will be printed and delivered to the Holders.

NEITHER THE ISSUER, THE TRUSTEE NOR THE PAYING AGENT WILL HAVE ANY RESPONSIBILITY OR OBLIGATION TO ANY DIRECT PARTICIPANT, INDIRECT PARTICIPANT OR ANY BENEFICIAL OWNER OR ANY OTHER PERSON NOT SHOWN ON THE REGISTER AS BEING A HOLDER WITH RESPECT TO: (1) THE BONDS; (2) THE ACCURACY OF ANY RECORDS MAINTAINED BY DTC OR ANY DIRECT PARTICIPANT OR INDIRECT PARTICIPANT; (3) THE PAYMENT BY DTC OR ANY DIRECT PARTICIPANT OR INDIRECT PARTICIPANT OF ANY AMOUNT DUE TO ANY BENEFICIAL OWNER IN RESPECT OF THE PRINCIPAL OR REDEMPTION PRICE OF OR INTEREST ON THE BONDS; (4) THE DELIVERY BY ANY DIRECT PARTICIPANT OR INDIRECT PARTICIPANT OF ANY NOTICE TO ANY BENEFICIAL OWNER WHICH IS REQUIRED OR PERMITTED UNDER THE TERMS OF THE INDENTURE TO BE GIVEN TO HOLDERS; (5) THE SELECTION OF THE BENEFICIAL OWNERS TO RECEIVE PAYMENT IN THE EVENT OF ANY PARTIAL REDEMPTION OF THE BONDS; OR (6) ANY CONSENT GIVEN OR OTHER ACTION TAKEN BY DTC AS HOLDER.

THE ISSUER, THE COMPANY, THE TRUSTEE AND PAYING AGENT CANNOT AND DO NOT GIVE ANY ASSURANCES THAT THE DIRECT PARTICIPANTS OR THE INDIRECT PARTICIPANTS WILL DISTRIBUTE TO THE BENEFICIAL OWNERS OF THE BONDS (i) PAYMENTS OF PRINCIPAL OF OR INTEREST ON THE BONDS, (ii) BONDS REPRESENTING AN OWNERSHIP INTEREST OR OTHER CONFIRMATION OF BENEFICIAL OWNERSHIP INTERESTS IN THE BONDS OR (iii) REDEMPTION OR OTHER NOTICES SENT TO DTC OR CEDE & CO., ITS NOMINEE, AS THE REGISTERED OWNERS OF THE BONDS, OR THAT THEY WILL DO SO ON A TIMELY BASIS OR THAT DTC, DIRECT PARTICIPANTS OR INDIRECT PARTICIPANTS WILL SERVE AND ACT IN THE MANNER DESCRIBED IN THIS OFFICIAL STATEMENT. THE CURRENT "RULES" APPLICABLE TO DTC ARE ON FILE WITH THE SECURITIES AND EXCHANGE COMMISSION, AND THE CURRENT "PROCEDURES" OF DTC TO BE FOLLOWED IN DEALING WITH DIRECT PARTICIPANTS ARE ON FILE WITH DTC.

THE AGREEMENT

Certain provisions of the Agreement are described below. Reference is made to the Agreement for the detailed provisions thereof.

Installment Payments

The Company will agree to make installment payments (the "Installment Payments") on each date on which any payment of principal or redemption price of, or interest on the Bonds is due, whether at

maturity, upon redemption or acceleration or otherwise. All such Installment Payments will be paid to the Trustee, for the account of the Issuer, and will be in an amount which, together with other moneys held by the Trustee under the Indenture and available therefor, will enable the Trustee to make payment of principal or redemption price of, or interest on the Bonds to the Holders in full in a timely manner.

Purchase Price Payments

The Company has agreed in the Agreement to pay the purchase price of all Bonds upon the Mandatory Purchase Date or any Conversion Date, as applicable, to the extent remarketing proceeds have not been furnished to the Trustee by 11 a.m. New York City time on each such Mandatory Purchase Date or Conversion Date, as applicable (the "Purchase Price Payments").

Obligations Unconditional

The obligation of the Company to make the Installment Payments and the Purchase Price Payments required under the Agreement and to perform and observe the other agreements on its part contained in the Agreement will be, absolute and unconditional and the Company will make such payments without abatement, diminution or deduction regardless of any cause or circumstance whatsoever, including, without limitation, damage, destruction or condemnation of the Project Facilities (the risk of which shall be borne exclusively by the Company).

Term of Agreement

The term of the Agreement will continue until such time as all of the outstanding Bonds are fully paid (or provision made for such payment) pursuant to the Indenture and all other sums payable under the Agreement are fully paid.

Tax Covenants

The Company will represent that it has taken and caused to be taken, and will covenant that it will take and cause to be taken, all actions that may be required of it, alone or in conjunction with the Issuer, for the interest on the Bonds to be and to remain excludable from gross income for federal income tax purposes, and will represent that it has not taken or permitted to be taken on its behalf, and will covenant that it will not take or permit to be taken on its behalf, any action that would adversely affect such excludability under the provisions of the Code.

The Company will covenant that it will restrict the investment and reinvestment and the use of the proceeds of the Bonds in such manner and to such extent, if any, as may be necessary so that the Bonds will not constitute arbitrage bonds under Section 148 of the Code.

The Company will covenant that on or before the 90th day following the date any of the Project Facilities are no longer being operated as qualifying exempt facilities under the Code (unless such facilities have simply ceased to be operated), or such later date as provided in the Indenture, the Company shall cause a related amount of Bonds to be redeemed pursuant to the extraordinary mandatory redemption provision of the Bonds described above under "DESCRIPTION OF THE BONDS – Redemption – *Extraordinary Mandatory Redemption*."

Completion of Project Facilities

The Company will represent that the acquisition, construction, equipping and installation of the Project Facilities will be completed and that the proceeds of the Bonds, including any investment thereof,

will be expended in accordance with the provisions of all bond authorizations, security and tax regulatory agreements and certificates executed in respect of the Bonds and in respect of the installation, operation and use of the Project Facilities.

Mergers or Consolidations

The Company will covenant that it will not merge or consolidate with any other legal entity or sell or convey all or substantially all of its assets to any other legal entity, except that the Company may merge or consolidate with, or sell or convey all or substantially all of its assets to any other legal entity, provided that (a) the Company is the continuing legal entity or the successor legal entity (if other than the Company) is a legal entity organized and existing under the laws of the United States of America or a state thereof, qualified to do business in the State, and such legal entity expressly assumes the due and punctual payment of the Installment Payments, the Purchase Price Payments and any additional payments, and the due and punctual performance and observance of all the covenants and conditions of the Agreement to be performed by the Company (an "Assumption Agreement") and (b) the Company or such successor legal entity, as the case may be, will not, immediately after such merger or consolidation, or such sale or conveyance, be in default in the performance of any such covenant or condition and no event which with the lapse of time, the giving of notice or both would constitute an Event of Default under the Agreement has occurred and is continuing.

The Company will, within 30 days after the execution of an Assumption Agreement, furnish to the Issuer and the Trustee an executed copy of such Assumption Agreement and the appropriate documentation demonstrating that the successor legal entity (if other than the Company) is organized and existing under the laws of the United States of America or a state thereof and is qualified to do business in the State.

Upon any such consolidation, merger, sale or conveyance and the assumption by the successor legal entity of the obligations under the Agreement and on the Bonds, such successor legal entity will succeed to and be substituted for the Company under the Agreement, and the Company will thereupon be relieved of any further obligations or liabilities under the Agreement and upon the Bonds and the Company as the predecessor legal entity may thereupon or at any time thereafter be dissolved, wound-up or liquidated.

Assignment

The rights granted to the Company under the Agreement may be assigned in whole or in part by the Company without the necessity of obtaining the consent of the Issuer or the Trustee, provided, among other things, that (a) the Company remains primarily liable for all of its obligations under the Agreement, including the payment of the Installment Payments, Purchase Price Payments and other payments due under the Agreement and for the performance and observance of its other agreements under the Agreement, (b) the Company retains such rights and interests as will permit the Company to perform its obligations under the Agreement and (c) any such assignment will not materially impair fulfillment of the purposes to be accomplished by operation of the Project Facilities as a project the financing of which is permitted under the Act.

Events of Default

The following are defined as "Events of Default" under the Agreement:

(a) Failure by the Company to pay any Installment Payment, Purchase Price Payment or additional payment on each date on which that Installment Payment, Purchase Price Payment or additional payment is due and payable;

(b) Failure by the Company to observe and perform any other covenant, condition or agreement on its part to be observed or performed under the Agreement (other than certain representations, warranties and covenants regarding various matters relating to the tax status of the interest on the Bonds) and the continuation of such failure for a period of 60 days after written notice of such failure is given to the Company by the Issuer or the Trustee, or for such longer period as the Issuer and the Trustee may agree to in writing; provided that if the failure stated in the notice cannot be corrected within the applicable period, that failure will not constitute an Event of Default so long as the Company institutes curative action within the applicable period and diligently pursues that action to completion;

(c) The dissolution or liquidation of the Company or the voluntary initiation by the Company of any proceeding under any federal or state law relating to bankruptcy, insolvency, arrangement, reorganization, readjustment of debt or any other form of debtor relief, or the initiation against the Company of any such proceeding which shall remain undismissed for 60 days, or failure by the Company to promptly have discharged any execution, garnishment or attachment of such consequence as would materially impair the ability of the Company to carry on its operations, or assignment by the Company for the benefit of creditors, or the entry by the Company into an agreement of composition with creditors or the failure generally by the Company to pay its debts as they become due; or

(d) The occurrence of an Event of Default under the Indenture. See "THE INDENTURE – Events of Default and Remedies."

Any declaration of default under subparagraph (c) above and the exercise of remedies upon any such declaration will be subject to any applicable limitations of federal bankruptcy law affecting or precluding that declaration or exercise during the pendency of or immediately following any bankruptcy, liquidation or reorganization proceedings.

Remedies

If any "Event of Default" under the Agreement has happened and is existing, any one or more of the following remedial steps may be taken:

(a) If acceleration of the principal amount of the Bonds has been declared pursuant to the Indenture, the Issuer or the Trustee will declare all Installment Payments to be immediately due and payable; or

(b) The Issuer or the Trustee may pursue all remedies now or hereafter existing at law or in equity to collect all amounts then due and thereafter to become due under the Agreement or to enforce the performance and observance of any other obligation or agreement of the Company under those instruments.

Any amounts collected pursuant to remedial action taken upon the happening of an Event of Default (except for amounts payable directly to the Issuer, the Trustee, the Tender Agent or the Remarketing Agent) will be paid into the Bond Fund and applied in accordance with the provisions of the Indenture or, if no Bonds are then outstanding and no amounts are then due and payable under the

Indenture, then such amounts will be paid to the Company. See "THE INDENTURE — Events of Default and Remedies."

Notwithstanding the foregoing, the Trustee shall not be obligated to spend time or money or otherwise incur liability enforcing remedies unless or until satisfactory indemnity has been furnished to the Trustee at no cost to it for the reimbursement of all expenses which it may incur and to protect it against all liability by reason of the performance of its duties or the exercise of any of its rights or powers, except liability which is adjudicated to have resulted from its negligence or willful misconduct.

Amendments of the Agreement

The Indenture provides that Exhibit A to the Agreement, which describes the Project Facilities, may be amended or supplemented upon receipt by the Trustee of (a) a certificate from the Company describing in detail the proposed changes, (b) a copy of the proposed form of amendment or supplement to Exhibit A to the Agreement and such other documents, certificates and showings as may be required by counsel rendering the opinion in clause (c) of this paragraph; and (c) an Opinion of Nationally Recognized Bond Counsel to the effect that such amendment complies with the requirements of the Indenture, is in proper form for execution and delivery by the Company and will not adversely affect the validity of the Bonds or the exclusion from gross income for federal income tax purposes of the interest thereon.

The Indenture provides that the Issuer and the Trustee may, without the consent of or notice to the Holders of the Bonds, consent to any other amendment, change or modification of the Agreement as may be required (a) by the provisions of the Agreement or the Indenture, (b) for the purpose of curing any ambiguity, inconsistency or defect or omission in the Agreement, (c) to conform the provisions of the Agreement to an amendment made to the Indenture, (d) in connection with any other change therein which is not to the prejudice of the Trustee or Holders of the Bonds or (e) to modify, alter, amend or supplement the Agreement in any other respect, including amendments described in the next succeeding paragraph, if the effective date of such amendment is a date on which all Bonds affected thereby are subject to mandatory tender for purchase on the Mandatory Purchase Date or Conversion Date or are owned or beneficially owned by the Company.

Except for such amendments, changes or modifications described in the two preceding paragraphs, neither the Issuer nor the Trustee will consent to (a) any amendment, change or modification of the Agreement which would change the amount or time as of which the Installment Payments or Purchase Price Payments are required to be paid, without the giving of notice as provided in the Indenture and the written consent thereto of the Holders of all Bonds then outstanding, or (b) any other amendment, change or modification of the Agreement without the giving of notice as provided in the Indenture and the written consent thereto of the Holders of not less than a majority in aggregate principal amount of the Bonds then outstanding.

THE INDENTURE

Certain provisions of the Indenture are described below. Reference is made to the Indenture for the detailed provisions thereof.

Application of Bond Proceeds

The proceeds from the sale of the Bonds will be deposited in the Project Fund created under the Indenture. The Trustee will, from time to time upon receipt of a disbursement request from the Company, disburse funds from the Project Fund to pay, or to reimburse the Company for its payment of, costs of the

acquisition, construction, installation or equipping of the Project Facilities. Disbursements will be made from the Project Fund only to reimburse or pay the Company, or any person designated by the Company, for (a) costs incurred directly or indirectly for or in connection with the acquisition, construction, equipping and installation of the Project Facilities, including, without limitation, costs incurred in respect of the Project Facilities for preliminary planning and studies; architectural, legal, engineering, surveying, accounting, consulting, supervisory and other services; labor, services and materials; and recording of documents and title work; (b) subject to the limitations set forth in the Code, financial, legal, accounting, printing and engraving fees, charges and expenses, and all other such fees, charges and expenses incurred in connection with the authorization, sale, issuance and delivery of the Bonds; or (c) any other costs, expenses, fees and charges properly chargeable to the cost of the acquisition, construction, equipping or installation of the Project Facilities, including interest on the Bonds prior to the time the Project Facilities are placed in service, and that otherwise comply with the Company's representations, warranties and covenants under the Agreement.

As soon as practicable after the filing by the Company with the Trustee of a certificate stating the date that the acquisition, construction, equipping and installation of the Project Facilities have been substantially completed, and in any event within 90 calendar days of such date, any balance remaining in the Project Fund (other than the amounts retained as described in such certificate), as directed by the Company, will be transferred or disbursed, at the written direction of the Company, in accordance with Section 1.142-2 of the Federal Income Tax Regulations or any successor thereto, which generally require that a portion of the Bonds be redeemed, or defeased to the first call date (with appropriate notice to the Internal Revenue Service), within 90 calendar days of the earlier of (i) the date on which the Company determines that the Project Facilities will not be completed or (ii) the date on which the Project Facilities are placed in service. If an Event of Default occurs under the Agreement prior to the filing by the Company with the Trustee of the completion certificate and moneys remain in the Project Fund, the Trustee will transfer such moneys to the Bond Fund.

Deposit and Use of Moneys in Bond Fund

All Installment Payments will be deposited in the Bond Fund created under the Indenture, to be used for the payment of principal or redemption price of, and interest on the Bonds as they become due on the Maturity Date or by redemption.

Investments

Moneys in the Project Fund, Bond Fund and Rebate Fund created under the Indenture will be invested and reinvested by the Trustee, at the written direction of the Company, in any Eligible Investments (as defined in the Indenture). The Trustee shall not be held liable for the selection of Eligible Investments, for determining whether an investment constitutes an Eligible Investment or by reason of any insufficiency in resulting from any loss on any investment included therein. In addition, the Trustee shall not have any liability in respect of losses incurred as a result of the liquidation of any investment prior to its stated maturity or the failure by any party to provide timely written investment direction.

Events of Default and Remedies

Any of the following will be an "Event of Default" under the Indenture:

(a) Payment of any interest on any Bond is not made on the date when such interest has become due and payable;

(b) Payment of the principal or redemption price of, any Bond is not made on the date when such principal or redemption price has become due and payable, whether at stated maturity, by redemption, by acceleration or otherwise;

(c) Payment of the purchase price for any Bond is not made on the date when such payments have become due and payable;

(d) Failure by the Issuer to observe or perform any other covenant, agreement or obligation contained in the Indenture or in the Bonds, which failure has continued for a period of 60 calendar days after written notice by registered or certified mail to the Issuer and the Company specifying the failure and requiring the same to be remedied, which notice may be given by the Trustee in its discretion and which notice must be given by the Trustee at the written request of the Holders of not less than 25% in aggregate principal amount of the Bonds then outstanding; or

(e) The occurrence and continuance of an Event of Default under the Agreement. See "THE AGREEMENT — Events of Default" and "—Remedies."

Upon the occurrence of any Event of Default (other than as described in clause (d) above), the Trustee may, and, upon written request of the Holders of not less than 25% in aggregate principal amount of the Bonds then outstanding, must, by a notice in writing delivered to the Issuer and the Company, declare the principal of and accrued interest on all outstanding Bonds to be due and payable immediately. Upon that declaration, that principal and interest will become and be due and payable immediately.

If at any time after declaration of acceleration and prior to the entry of a judgment in a court for enforcement under the Indenture (after an opportunity for hearing by the Issuer and the Company), (a) all sums payable under the Indenture (except the principal of and interest on Bonds which have not reached their stated maturity dates but which are due and payable solely by reason of that declaration of acceleration), plus interest to the extent permitted by law on any overdue installments of interest at the rate borne by the Bonds in respect of which the default has occurred, have been duly paid or provided for by deposit with the Trustee or the Paying Agent and (b) all existing Events of Default have been cured, then, and in every case, the Trustee will waive the Event of Default and its consequences and will rescind and annul that declaration.

Whether or not principal of the Bonds has been accelerated, upon the occurrence and continuance of an Event of Default, the Trustee may, and if requested to do so by the Holders of at least 25% in aggregate principal amount of the Bonds then outstanding and if indemnified as provided in the Indenture will, pursue any available remedy to enforce the payment of principal or redemption price of, and interest on the Bonds or the observance and performance of any other covenant, agreement or obligation contained in the Indenture, the Agreement or any other instrument providing security, directly or indirectly, for the Bonds.

The Trustee will also be empowered to enforce the rights granted to the Issuer under the Agreement, except the Unassigned Issuer's Rights.

The Holders of a majority in aggregate principal amount of outstanding Bonds will have the right at any time to direct, in writing, the method and place of conducting all proceedings to be taken in connection with the enforcement of the terms and conditions of the Indenture or any other proceeding under the Indenture, provided that such direction will not be otherwise than in accordance with the provisions of law and the Indenture, that the Trustee is indemnified to its satisfaction and that the Trustee may take any other action which it deems to be proper and which is not inconsistent with such direction.

The Trustee may in its discretion waive any Event of Default under the Indenture and its consequences and rescind and annul any declaration of maturity of principal of the Bonds, and is required to do so upon the written request of the Holders of (a) at least a majority in aggregate principal amount of all Bonds then outstanding in respect of which an Event of Default exists in the payment of principal, redemption price or interest on such Bonds or (b) at least 25% in aggregate principal amount of all Bonds then outstanding in case of any other Event of Default; provided, however, that there will not be waived any Event of Default respecting the nonpayment, when due, of principal or redemption price or purchase price of, or interest on, the Bonds as already described or any declaration of acceleration in connection therewith rescinded or annulled, unless, at the time of such waiver or rescission and annulment, payments of the amounts provided in the Indenture for waiver and rescission and annulment in connection with acceleration of maturity have been made or provided for.

All moneys received by the Trustee from remedial action taken will be applied to the payment of any fees and expenses of the Trustee (including, but not limited to, reasonable attorneys' fees and expenses) and any costs, expenses, liabilities and advances paid, incurred or made by the Trustee in the collection of such moneys, and the balance of such moneys will be deposited in the Bond Fund and applied to the payment of the principal or redemption price of, and interest on the Bonds in the manner and in the order of priority set forth in the Indenture.

No Holder of any Bond will have any right to institute any suit, action or proceeding for the enforcement of the Indenture, for the execution of any trust under the Indenture or for the exercise of any other remedy under the Indenture, unless (a) an Event of Default has occurred and is continuing of which the Trustee has been notified or is deemed to have notice, (b) the Holders of at least 25% in aggregate principal amount of the Bonds then outstanding have made written request to the Trustee and have afforded the Trustee reasonable opportunity to proceed to exercise the remedies, rights and powers provided in the Indenture or to institute such action, suit or proceeding in its own name and have offered to the Trustee indemnity as provided for in the Indenture and (c) the Trustee thereafter has failed or refused to exercise its remedies, rights and powers under the Indenture or to institute such suit, action or proceeding in its own name.

No Holders of the Bonds have any right to affect, disturb or prejudice in any manner whatsoever the security or benefit of the Indenture by their action, or to enforce, except in the manner provided in the Indenture, any remedy, right or power under the Indenture. Any suit, action or proceedings must be instituted, had and maintained in the manner provided in the Indenture for the benefit of the Holders of all then outstanding Bonds.

Supplemental Indentures

The Issuer and the Trustee may enter into supplemental indentures which are not inconsistent with the terms and provisions of the Indenture, without the consent of or notice to any of the Holders of the Bonds, for any one or more of the following purposes: (a) to cure any ambiguity, inconsistency or defect or omission in the Indenture; (b) to grant to or confer upon the Trustee for the benefit of the Holders of the Bonds any additional rights, remedies, powers or authority that lawfully may be granted to or conferred upon the Holders of the Bonds or the Trustee; (c) to assign additional revenues under the Indenture; (d) to accept additional security and instruments and documents of further assurance with respect to the Project Facilities; (e) to add to the covenants, agreements and obligations of the Issuer contained in the Indenture, other covenants, agreements and obligations to be observed for the protection of the Holders of the Bonds or to surrender or limit any right, power or authority reserved to or conferred upon the Issuer in the Indenture; (f) to evidence any succession to the Issuer and the assumption by its successor of the covenants, agreements and obligations of the Issuer contained in the Indenture, the Agreement and the Bonds; (g) to facilitate the transfer of Bonds from one securities depository to another

and the succession of securities depositories, or the withdrawal from a securities depository of Bonds held in a book-entry system and the issuance of replacement Bonds in fully registered form to persons other than a securities depository; (h) to permit the Trustee to comply with any obligations imposed upon it by law; (i) to specify further the duties and responsibilities of, and define further the relationship among, the Trustee, the Registrar or the Paying Agent; (j) to achieve compliance of the Indenture or the Bonds with any applicable law; (k) to permit any other amendment which, as set forth in an opinion of counsel delivered to the Trustee, is not to the prejudice of the Trustee or to the Holders; (l) to make amendments to the provisions of the Indenture relating to arbitrage matters under the Code, if, in the Opinion of Nationally Recognized Bond Counsel, those amendments would not cause the interest on the Bonds outstanding to become includable in gross income for federal income tax purposes, which amendments may, among other things, change the responsibility for making the relevant calculations; (m) to conform the provisions of the Indenture to any amendments made to the Agreement; and (n) to modify, alter, amend or supplement the Indenture in any other respect, including amendments which would otherwise require the consent of the Holders of not less than a majority in aggregate principal amount of the Bonds then outstanding, if the effective date of such modification, alteration, amendment or supplement to the Indenture is the Mandatory Purchase Date, a Conversion Date or a date on which all Bonds affected thereby are owned or beneficially owned by the Company.

Exclusive of supplemental indentures for the aforesaid purposes, the consent of the Holders of not less than a majority in aggregate principal amount of the Bonds then outstanding will be required to approve any indenture supplementing the Indenture, provided that (a) without the consent of the Holder of each Bond so affected, no supplemental indenture will permit an extension of the maturity of the principal, redemption price or purchase price of, or the interest on, any Bond, or a reduction in the principal amount or purchase price of any Bond or the rate of interest on any Bond, and (b) without the consent of the Holders of all Bonds then outstanding, no supplemental indenture will permit the creation of a privilege or priority of any Bond or Bonds over any other Bond or Bonds, or a reduction in the aggregate principal amount of Bonds required for consent to a supplemental indenture.

The consent of the Company is also required for any supplemental indenture.

The rights and obligations of the Issuer and of the Holders of Bonds, and the terms and provisions of the Bonds and the Indenture or any supplemental indenture, may be modified or altered in any respect with the consent of (a) the Issuer, (b) the Holders of all of the Bonds then outstanding, (c) the Trustee and (d) the Company, provided the Trustee shall be entitled to receipt of an opinion of counsel in any such event.

Discharge of Lien

The Indenture will be released if the Issuer pays or causes to be paid and discharged all outstanding Bonds or there otherwise is paid to the Holders of the outstanding Bonds all the principal or redemption price of and interest due or to become due on the Bonds and provision also is made for the payment of all other sums payable under the Indenture and the Agreement.

All or any part of any of the Bonds will be deemed to have been paid and discharged within the meaning of the Indenture if:

(a) (i) the Trustee has received, in trust for and irrevocably committed thereto, sufficient moneys; or

(ii) the Trustee has received, in trust for and irrevocably committed thereto, noncallable and nonprepayable direct obligations of (or certain obligations unconditionally

guaranteed by) the United States of America maturing as to principal and interest in such amounts and at such times, without further investment or reinvestment of either the principal amount thereof or the interest earnings therefrom, as will insure, together with any moneys referred to in clause (a)(i), in the opinion of a nationally recognized investment bank, appraisal firm or firm of independent public accountants, addressed to the Trustee and at the expense of the Company, the availability of sufficient moneys for the payment of principal or redemption price of and interest on the Bonds deemed to have been paid or discharged, at their maturity or designated redemption dates, as the case may be, or if default in such payment has occurred on any maturity or redemption date, then to the date of the tender of such payment, provided that, if any Bonds are to be redeemed prior to maturity thereof, notice of such redemption has been duly given or irrevocable provision satisfactory to the Trustee has been duly made for the giving of such notice; and

(b) all necessary and proper fees, compensation and expenses of the Trustee pertaining to the Bonds with respect to which such deposit is made shall have been paid or the payment thereof provided for to the reasonable satisfaction of the Trustee.

After such discharge, Holders must look only to the deposited moneys and securities for payment of debt service on the Bonds.

Notwithstanding the foregoing, any provisions of the Indenture which relate to the payment of the principal or redemption price of the Bonds on their maturity date or designated redemption dates as described in the second preceding paragraph, interest payments and dates thereof, exchange, transfer and registration of Bonds, replacement of mutilated, destroyed, lost or stolen Bonds, the safekeeping and cancellation of Bonds, nonpresentment of Bonds, the holding of moneys in trust, and repayments to the Company from the Bond Fund and the duties of the Trustee and the Registrar in connection with all of the foregoing as set forth in the Indenture, will remain in effect and be binding upon the Trustee, the Registrar, the Paying Agent, DTC or any successor securities depository and the Holders of the Bonds notwithstanding the release and discharge of the Indenture.

The Trustee

Prior to the occurrence of a default or an Event of Default under the Indenture of which the Trustee has been notified or is deemed to have notice and after the cure or waiver of all defaults or Events of Default which may have occurred, the Trustee will undertake to perform only those duties and obligations which are set forth specifically in the Indenture and no other duties or obligations will be implied to the Trustee. The Trustee may, unless acting in bad faith, rely conclusively as to the truth of the statements and the correctness of the opinions expressed therein, made in certificates or opinions furnished to it which conform to the requirements of the Indenture. In case a default or an Event of Default has occurred and is continuing of which the Trustee has been notified or is deemed to have notice, the Trustee will exercise those rights and powers vested in it by the Indenture, and use the same degree of care and skill in their exercise, as a prudent person would exercise or use under the circumstances. The Trustee will not be deemed to have notice of an Event of Default described in clause (d) or (e) under the heading "THE INDENTURE — Events of Default and Remedies" unless a Responsible Officer (as defined in the Indenture) of the Trustee has been notified specifically of the default or Event of Default in a written instrument or document delivered by the Issuer or the Holders of at least 25% in aggregate principal amount of the Bonds then outstanding, or by the Company, in the case of an Event of Default described in such clause (e). No provision of the Indenture will be construed to relieve the Trustee from liability for its own negligent action, its own negligent failure to act or its own willful misconduct.

The Trustee may resign at any time from the trusts created under the Indenture by giving written notice of the resignation to the Issuer, the Company, the Registrar and the Paying Agent and by sending written notice of the resignation to Holders of the Bonds as their names and addresses appear on the Register at the close of business 15 calendar days prior to sending of such notice. The resignation will take effect upon the appointment of a successor Trustee. The Trustee may be removed at any time by an instrument or document or concurrent instruments or documents in writing delivered to the Trustee, with copies thereof sent to the Issuer, the Registrar, the Paying Agent and the Company, and signed by or on behalf of the Holders of not less than a majority in aggregate principal amount of the Bonds then outstanding or, if no Event of Default under the Indenture or the Agreement or event which with the giving of notice or the passage of time would cause an Event of Default under the Indenture or Agreement has occurred and is continuing, by the Company by an instrument or document in writing from the Company given to the Trustee, with copies sent to the Issuer, the Registrar and the Paying Agent. The Trustee also may be removed at any time for any breach of trust or for acting or proceeding in breach of, or for failing to act or proceed in accordance with, any provision of the Indenture with respect to the duties and obligations of the Trustee by any court of competent jurisdiction upon the application of the Issuer or the Holders of not less than 50% in aggregate principal amount of the Bonds then outstanding under the Indenture.

Any successor Trustee must (a) be a trust company or a bank having the powers of a trust company, (b) be in good standing within the state of its incorporation or, if incorporated under the laws of the United States of America, the state in which its principal office is located, (c) have, or be a wholly owned subsidiary of a bank or trust company which bank or trust company has, an unimpaired reported capital and surplus of not less than $50,000,000 and (d) be willing to accept the trusteeship under the terms and conditions of the Indenture.

RISK FACTORS

THE PURCHASE OF THE BONDS IS SUBJECT TO CERTAIN RISKS. EACH PROSPECTIVE INVESTOR IN THE BONDS IS ENCOURAGED TO READ THIS OFFICIAL STATEMENT IN ITS ENTIRETY, INCLUDING ALL APPENDICES HERETO.

The following discussion is not meant to be an exhaustive list of the risks and other factors that should be considered in connection with the purchase of the Bonds and does not necessarily reflect the relative importance of the various risks and other factors. Any one or more of the risks described, and others, could adversely affect the Company, and could lead to substantial decreases in the market value and/or the liquidity of the Bonds. There can be no assurance that other risk factors will not become material in the future.

Investors should carefully consider the risk factors set forth below and the risk factors incorporated into this Official Statement by reference to the Company's Annual Report on Form 10-K for the year ended December 31, 2019 (the "2019 Form 10-K") and the Company's Quarterly Reports on Form 10-Q for the quarters ended March 31, 2020, June 30, 2020 and September 30, 2020 (the "2020 Form 10-Qs"), as well as the other information contained in and incorporated by reference into this Official Statement before deciding to invest in the Bonds. The selected risks described below and the risks that are incorporated into this Official Statement by reference to the 2019 Form 10-K and the 2020 Form 10-Qs are not the only risks. Additional risks and uncertainties not currently known to the Company or those the Company currently views to be immaterial also may materially and adversely affect the Company's business, financial condition or results of operations. Any of the following risks or any of the risks described in the 2019 Form 10-K and the 2020 Form 10-Qs could materially and adversely affect the Company's business, financial condition, operating results or cash flow. In such a case, the trading

price of the Bonds could decline, or the Company may not be able to make payments under the Agreement to satisfy the payment of interest and principal on the Bonds, and investors may lose all or part of their original investment.

Risks Related to the Bonds

The Bonds may not be a suitable investment.

An investment in the Bonds involves some degree of risk and should be considered only by investors who have adequate experience to evaluate the merits and the risks of the Bonds and who are able to bear the risk of loss of all or a portion of their investment in the Bonds. The interest rate borne by the Bonds (as compared to prevailing interest rates on bonds with a higher credit rating such as those that constitute general obligations of fiscally sound municipalities) is intended to compensate the investor for assuming this element of additional risk. Prospective investors should carefully examine this Official Statement, including the Appendices hereto, and their own financial condition, as well as consult their own independent financial advisors, in order to make a judgment as to their ability to bear the economic risk of such an investment, and to determine whether or not the Bonds are an appropriate investment for them.

There is not expected to be an active secondary market for the Bonds.

It is not anticipated that an active secondary market for the Bonds will exist after the Bonds are issued. The Underwriters will not be obligated to repurchase any of the Bonds. The Company does not intend to apply for listing of the Bonds on any securities exchange or inclusion of the Bonds on any automated quotation system.

There is no liquidity facility for the Bonds.

No Letter of Credit or other credit or liquidity facility will be provided to support the payment of the Purchase Price on the Mandatory Purchase Date for the Bonds or to support payment of Installment Payments for the Bonds. The funds of the Company are the sole source of funds that will be used to make the Purchase Price Payments on the Bonds on the Mandatory Purchase Date and Installment Payments for the Bonds. Such funds may be insufficient to cover such Purchase Price Payments and Installment Payments.

The Bonds will be initially held in book-entry form and therefore investors must rely on the procedures of DTC to exercise any rights and remedies.

Unless and until definitive bonds are issued in exchange for book-entry interests in the Bonds, owners of the book-entry interests will not be considered owners or holders of the Bonds. Instead, a nominee of DTC will be the sole holder of the Bonds.

Payments of amounts owing in respect of the Bonds will be made by the Company to the paying agent. The paying agent will, in turn, make such payments to DTC or its nominee, which will distribute such payments to participants in accordance with their respective procedures.

Unlike holders of the Bonds themselves, owners of book-entry interests will not have the direct right to act upon solicitations for consents or requests for waivers or other actions from holders of the Bonds. Instead, investors owning a book-entry interest will be permitted to act only to the extent they have received appropriate proxies to do so from DTC or, if applicable, from a participant. The Company

cannot make assurances that procedures implemented for the granting of such proxies will be sufficient to enable an investor to vote on any requested actions on a timely basis.

The lack of physical certificates could also:

- result in payment delays because the Trustee will be sending distributions on the Bonds to DTC instead of directly to investors; and
- make it difficult or impossible for investors to pledge certificates if physical certificates are required by the party demanding the pledge.

The Issuer will not grant any lien or mortgage on any project assets or pledge any Issuer assets.

The Bonds will not be secured by any mortgage or lien on the project financed by the Bonds or by any mortgage, lien or claim against, security interest in or pledge of any assets or revenues of the Issuer, or by any recourse against any funds or assets of the Issuer other than the trust estate pledged and assigned under the Indenture, which consists primarily of the right, title and interest of the Issuer in the Agreement and the funds and accounts created under the Indenture into which the Installment Payments are to be deposited. In evaluating a purchase or potential purchase of Bonds, investors are advised to rely on their evaluation of the Company's ability to meet its obligations under the Agreement.

Federal and state fraudulent transfer laws may permit a court to void the Bonds, and if that occurs, investors may not receive any payments on the Bonds.

Federal and state fraudulent transfer and conveyance statutes may apply to the issuance of the Bonds. In the event of such legal proceedings or other legal proceedings involving the Bonds, a court may find under certain factual circumstances legal or equitable principles are applicable in the proceeding. These principles include fraudulent conveyance statutes, the doctrine of equitable subordination and other equitable remedies generally, and the court applying one or more of these principles in the proceeding may have the effect of subordinating or voiding the payment obligations under the Bonds and may require that prior payments thereunder be returned to the Company or to a fund for the benefit of other creditors.

Any decline in the ratings of the Bonds or the Company's credit rating could adversely affect the value of the Bonds.

Any decline in the ratings of the Bonds, the Company's credit rating or any indications from the rating agencies that their ratings on the Bonds or the Company's credit rating are under surveillance or review with possible negative implications could adversely affect the value of the Bonds. In addition, a ratings downgrade of the Company could adversely affect the Company's ability to access capital.

There are limited covenants and protections in the Indenture and the Agreement; consequently, the Company may be able to incur substantially more indebtedness, all or a portion of which could be secured indebtedness.

The Indenture and the Agreement do not limit the amount of unsecured or secured indebtedness the Company may issue, and the Company is not prohibited under the Indenture and the Agreement from granting liens and security interests on its property and assets to lenders other than the Holders in order to secure debt.

On May 29, 2020, the Company issued $1.056 billion aggregate principal amount of 12.000% senior secured notes due June 1, 2025 (the “Senior Secured Notes”) in a 144A private transaction exempt from the registration requirements of the Securities Act of 1933, as amended. The Senior Secured Notes are fully and unconditionally guaranteed on a senior secured basis by all of the Company’s existing and future direct and indirect material domestic subsidiaries (other than certain subsidiaries excluded in the indenture executed in connection with the offering of the Senior Secured Notes (the ”Notes Indenture”)). The Senior Secured Notes and the guarantees thereof are secured by first priority-liens, subject to permitted liens, on substantially all of the Company’s domestic assets, other than certain excluded assets per the terms of the Notes Indenture and exclusive of the collateral required under the Company’s Fifth Amended and Restated Credit Facility Agreement dated as of October 25, 2019, among the Company, the lenders party thereto, the letter of credit issuing banks party thereto, and JP Morgan Chase Bank, N.A., as administrative agent and collateral agent. The possibility that the lenders of the Senior Secured Notes foreclose on their security interests creates a risk that the Company will not be able to pay debt service on the Bonds. There is no guarantee that the Company will not issue additional secured debt in the future.

The outbreak of COVID-19 and disruptions in the oil and gas industry have had, and are expected to continue to have, an adverse impact on the Company’s results of operations, financial condition and cash flows.

The global pandemic resulting from the novel coronavirus designated as COVID-19 has had a significant impact on economies, businesses and individuals around the world. Efforts by governments around the world to contain the virus have involved, among other things, border closings and other significant travel restrictions; mandatory stay-at-home and work-from-home orders in numerous countries, including the United States; mandatory business closures; public gathering limitations; and prolonged quarantines. These efforts and other governmental, business and individual responses to the COVID-19 pandemic have led to significant disruptions to commerce, lower consumer demand for goods and services and general uncertainty regarding the near-term and long-term impact of the COVID-19 virus on the domestic and international economy and on public health. These developments and other consequences of the outbreak have and could continue to materially adversely impact the Company's results of operations, financial condition and cash flows.

The U.S. Department of Homeland Security guidance has identified the Company’s business as a critical infrastructure industry, essential to the economic prosperity, security and continuity of the United States. Similarly, in Slovakia, U.S. Steel Kosice was identified by the government as a strategic and critical company, essential to economic prosperity, and continues to operate. However, although the Company continues to operate, it has experienced and is likely to continue to experience, significant reductions in demand. For example, the oil and gas industry, which is one of the Company’s significant end markets, has been experiencing a significant amount of disruption and has been experiencing oversupply at a time of declining demand, resulting in a decline in profitability. The Company’s Tubular operations (as described in the 2019 Form 10-K and the 2020 Form 10-Qs) support the oil and gas industry, and therefore the industry's decline has led to a significant decline in demand for the Company’s Tubular products. The Company also may experience disruptions to its operations resulting from changes in government policy or guidance; quarantines of employees, customers and suppliers in areas affected by the outbreak; and closures of businesses or manufacturing facilities that are critical to its business or its supply chain.

The COVID-19 pandemic could also adversely affect the Company’s liquidity and ability to access the capital markets. The Company’s credit ratings were downgraded earlier this year by three credit ratings agencies, all citing, among other things, the uncertainty in duration and impact of the COVID-19 outbreak on its business. Uncertainty regarding the duration of the COVID-19 pandemic and disruptions to the oil and gas industry may, for example, adversely impact the Company’s ability to raise

additional capital, or require additional capital, or require additional reductions in capital expenditures that are otherwise needed, to support working capital or continuation of its "best of both" strategy. Additionally, government stimulus programs may not be available to the Company, its customers, or its suppliers, or may prove to be ineffective. Furthermore, in the event that the impact from the COVID-19 outbreak causes the Company to be unable to satisfy any of its financial covenants under the agreements governing its outstanding indebtedness, the availability of credit facilities may become limited, or it may be required to renegotiate such agreements on less favorable terms. For example, based on the most recent four quarters as of September 30, 2020, the Company has not met the fixed charge negative covenant test under its Credit Facility Agreement (as described in the 2019 Form 10-K and the 2020 Form 10-Qs), and accordingly, the amount available to the Company under this facility was reduced by $200 million. In addition, since the value of the Company's inventory and trade accounts receivable less specified reserves calculated in accordance with the Credit Facility Agreement do not support the full amount of the facility at September 30, 2020, the amount available to the Company under this facility was further reduced by $294 million. As of September 30, 2020, the availability under the Credit Facility Agreement was $1.006 billion. If the Company is unable to access additional credit at the levels it requires, or the cost of credit is greater than expected, it could materially adversely affect its operating results.

COVID-19 could negatively affect the Company's internal controls over financial reporting as a portion of its workforce is required to work from home and therefore new processes, procedures, and controls could be required to respond to changes in its business environment.

The Company may be susceptible to increased litigation related to, among other things, the financial impacts of the pandemic on its business, its ability to meet contractual obligations due to the pandemic, employment practices or policies adopted during the health crisis, or litigation related to individuals contracting COVID-19 as result of alleged exposures on Company premises.

In addition, the COVID-19 outbreak has significantly increased economic and demand uncertainty. The current outbreak and continued spread of COVID-19 has caused a global recession, which has had a further material adverse impact on the Company's results of operations, financial condition and cash flows. The full extent to which the COVID-19 outbreak will affect the Company's operations, and the steel industry generally, remains highly uncertain and will ultimately depend on future developments which cannot be predicted at this time, including, but not limited to, the duration, severity, speed and scope of the outbreak, the length of time required for demand to return and normal economic and operating conditions to resume. The impact of the COVID-19 outbreak may also have the effect of exacerbating many of the other risks described in Item 1A. "Risk Factors" of the Company's 2019 Form 10-K.

The Company's Potential Investments in Big River Steel May Not be Fully Successful

On October 31, 2019, the Company, through its wholly-owned subsidiary, U.S. Steel Holdco LLC ("USS Holdco") acquired a 49.9% interest in BRS Stock Holdco LLC and in Big River Steel Holdings LLC (collectively, "Big River Steel") through a recapitalization of Big River Steel Holdings LLC and has a call option to purchase the remaining 50.1% interest through September 2023 (the "US Steel Option"). The Company has been and is currently evaluating its alternatives with respect to the option to acquire the remaining 50.1% of Big River Steel, and it expects to continue to do so. The Company could exercise this option at any time, without prior notice. However, there can be no assurance as to if or when the Company will exercise the option.

Should the Company elect to exercise its call option to purchase Big River Steel, a portion of their indebtedness may necessitate a refinancing. The option exercise initially would have triggered a change of control and/or event of default under certain existing indebtedness of Big River Steel, including

$487 million of its Arkansas Development Finance Authority Industrial Development Revenue Bonds (Big River Steel Project), Series 2019 (the "2019 BRS Bonds") issued in May 2019, which provided the holders of the bonds with the right to require the repurchase of the bonds upon a change of control. However, Big River Steel was successful in obtaining the consent of the holders of the 2019 BRS Bonds to an amendment to the Bond Financing Agreement (the "2019 Bond Financing Agreement") executed in connection with the issuance of the 2019 BRS Bonds and related documents to include USS Holdco as a permitted holder under the 2019 Bond Financing Agreement. As a result, the potential exercise of the US Steel Option will no longer trigger a change of control with respect to the 2019 BRS Bonds and the holders of the 2019 BRS Bonds will no longer have the right to require the repurchase of the 2019 BRS Bonds. The Company will not be required to refinance such portion of Big River Steel's indebtedness at a premium should the Company elect to exercise the US Steel Option.

THE TRUSTEE

The obligations and duties of the Trustee are described in the Indenture, and the Trustee has undertaken only those obligations and duties which are expressly set out in the Indenture. The Trustee has not independently passed upon the validity of the Bonds, the sufficiency of the security therefor, the adequacy of the provisions for payment thereof or the tax-exempt status of the interest on the Bonds. The Trustee has relied upon the opinion of Kutak Rock LLP, Bond Counsel ("Bond Counsel"), with respect to the validity and tax-exempt status of the interest on the Bonds. The Indenture expressly provides that the Trustee shall not be responsible for any loss or damage resulting from any action taken or omitted to be taken by it in good faith in reliance upon, and in accordance with, an opinion of counsel.

Under the terms of the Indenture, the Trustee is liable only for those damages caused by its negligence or willful misconduct. All notices or other instruments required by the Indenture to be delivered to the Trustee must be delivered to the designated office of the Trustee. The summary of the Trustee's rights, duties, obligations and immunities contained herein is not intended to be a complete summary, and references must be made to the Indenture for a complete statement of the Trustee's rights, duties, obligations and immunities.

TAX MATTERS

General Federal Tax Law Matters

Federal tax law contains a number of requirements that must be met on a continuing basis subsequent to the issuance and delivery of the Bonds for interest on the Bonds to be and remain excludable from gross income for federal income tax purposes. Noncompliance with such requirements could cause interest on the Bonds to be included in gross income for federal income tax purposes retroactively to the date of issuance of the Bonds. These requirements include, but are not limited to, provisions regarding the proper use of bond proceeds and the facilities financed therewith, prescribing yield and other limits within which the proceeds of the Bonds are to be invested and requiring, under certain circumstances, that certain investment earnings on the foregoing be rebated on a periodic basis to the Treasury Department of the United States of America. The Company and the Issuer have covenanted to comply with such requirements to the extent applicable.

Subject to continuing compliance by the Issuer and the Company with the above-referenced covenants, in the opinion of Bond Counsel, to be delivered contemporaneously with the delivery of the Bonds, under existing laws, regulations, rulings and judicial decisions, interest on the Bonds is excludable from gross income for federal income tax purposes, except for interest on any Bond for any period during which such Bond is held by a "substantial user" of the Project Facilities or a "related person" (within the meaning of Section 147(a) of the Code); however, such interest on the Bonds is included as an item of tax

preference in computing the federal alternative minimum tax for individuals. Bond Counsel will express no opinion regarding any other federal tax consequences arising with respect to the Bonds.

In rendering its opinion, Bond Counsel will rely upon certifications of the Company and the Issuer with respect to certain material facts within the knowledge of the Company and the Issuer and will assume continuing compliance by the Issuer and the Company with the above-referenced covenants. Bond Counsel's opinion represents its legal judgment based upon its review of the law and the facts that it deems relevant to render such opinion and is not a guarantee of a result.

The accrual or receipt of interest on the Bonds may otherwise affect the federal income tax liability of the owners of the Bonds. The extent of these other tax consequences will depend on such owners' particular tax status and other items of income or deduction. Bond Counsel will express no opinion regarding any such consequences. Prospective purchasers of the Bonds, particularly purchasers that are corporations (including S corporations and foreign corporations operating branches in the United States of America), property or casualty insurance companies, banks, thrifts or other financial institutions, certain recipients of social security or railroad retirement benefits, taxpayers entitled to claim the earned income credit, taxpayers entitled to claim the refundable credit in Section 36B of the Code for coverage under a qualified health plan or taxpayers who may be deemed to have incurred or continued indebtedness to purchase or carry tax-exempt obligations, should consult their tax advisors prior to any purchase of the Bonds as to the tax consequences of purchasing or owning the Bonds.

The proposed form of the opinion of Bond Counsel is attached hereto as Appendix B.

Backup Withholding

As a result of the enactment of the Tax Increase Prevention and Reconciliation Act of 2005, interest on tax-exempt obligations such as the Bonds is subject to information reporting in a manner similar to interest paid on taxable obligations. Backup withholding may be imposed on payments to any owner of the Bonds that fails to provide certain required information including an accurate taxpayer identification number to any person required to collect such information pursuant to Section 6049 of the Code. The reporting requirement does not in and of itself affect or alter the excludability of interest on the Bonds from gross income for federal income tax purposes or any other federal tax consequence of purchasing, holding or selling tax-exempt obligations.

Changes in Federal Tax Law

From time to time, there are legislative proposals in the Congress that, if enacted, could alter or amend the federal tax matters referred to under this heading "TAX MATTERS" or adversely affect the market value and liquidity of the Bonds. It cannot be predicted whether or in what form any such proposal might be enacted or whether if enacted it would apply to bonds issued prior to enactment. In addition, regulatory actions are from time to time announced or proposed and litigation is threatened or commenced which, if implemented or concluded in a particular manner, could adversely affect the market value and liquidity of the Bonds. It cannot be predicted whether any such regulatory action will be implemented, how any particular litigation or judicial action will be resolved, or whether the Bonds or the market value or liquidity thereof would be impacted thereby. Prospective purchasers of the Bonds should consult their tax advisors prior to any purchase of the Bonds regarding any pending or proposed legislation, regulatory initiatives or litigation. The opinions to be expressed by Bond Counsel are based on existing legislation and regulations as interpreted by relevant judicial and regulatory authorities as of the date of issuance and delivery of the Bonds, and Bond Counsel will express no opinion as of any date subsequent thereto or with respect to any pending legislation, regulatory initiatives or litigation.

Internal Revenue Service Audits

The Internal Revenue Service has an ongoing program of auditing tax-exempt obligations to determine whether, in the view of the Internal Revenue Service, interest on such tax-exempt obligations is included in gross income for federal income tax purposes. It cannot be predicted whether or not the Internal Revenue Service will commence an audit of the Bonds. If an audit is commenced, under current procedures the Internal Revenue Service may treat the Issuer as a taxpayer, and the registered owners of the Bonds may have no right to participate in such procedure. The commencement of an audit could adversely affect the market value and liquidity of the Bonds until the audit is concluded, regardless of the ultimate outcome.

PROSPECTIVE PURCHASERS OF THE BONDS ARE ADVISED TO CONSULT THEIR OWN TAX ADVISORS PRIOR TO ANY PURCHASE OF THE BONDS AS TO THE IMPACT OF FEDERAL TAX LAW UPON THEIR ACQUISITION, HOLDING OR DISPOSITION OF THE BONDS.

State Tax Law Matters

In the opinion of Bond Counsel, to be delivered contemporaneously with the delivery of the Bonds, under existing laws, regulations, rulings and judicial decisions, the Bonds and the income therefrom are exempt from all taxation in the State of Alabama. Ownership of the Bonds may result in other state and local tax consequences to certain taxpayers. Bond Counsel will express no opinion regarding any such state and local tax consequences arising with respect to the Bonds. **PROSPECTIVE PURCHASERS OF THE BONDS SHOULD CONSULT THEIR OWN TAX ADVISORS REGARDING THE APPLICABILITY OF ANY SUCH STATE AND LOCAL TAXES**.

LEGAL MATTERS

Certain legal matters incident to the authorization and issuance of the Bonds are subject to the approving legal opinion of Kutak Rock LLP, Bond Counsel, who has been retained by, and acts as Bond Counsel to, the Company. In its capacity as Bond Counsel, Kutak Rock LLP has not been retained or consulted on disclosure matters and has not undertaken to review or verify the accuracy, completeness or sufficiency of this Official Statement or other offering material relating to the Bonds and assumes no responsibility for the statements or information contained in or incorporated by reference in this Official Statement.

Certain legal matters will be passed upon for the Underwriters by their counsel, Ballard Spahr LLP; for the Issuer by Bradley Arant Boult Cummings LLP; and for the Company by Mark Furry, its Associate General Counsel – Corporate and by Burr & Forman LLP.

NO LITIGATION

There is no pending or, to the knowledge of the Company, threatened litigation against the Company, and there is no pending or, to the knowledge of the Issuer, threatened litigation against the Issuer, that in any way questions or affects the validity of the Bonds, or any proceedings or transactions relating to their issuance, sale or delivery.

CERTAIN RELATIONSHIPS

The Company has various banking relationships with the Trustee, and the Trustee serves as trustee with respect to other obligations of the Company.

The Underwriters and their respective affiliates are full service financial institutions engaged in various activities, which may include sales and trading, commercial and investment banking, advisory, investment management, investment research, principal investment, hedging, market making, brokerage and other financial and non-financial activities and services. Certain of the Underwriters and their respective affiliates have provided, and may in the future provide, a variety of these services to the Company and to persons and entities with relationships with the Company, for which they received or will receive customary fees and expenses.

In the ordinary course of their various business activities, the Underwriters and their respective affiliates, officers, directors and employees may purchase, sell or hold a broad array of investments and actively trade securities, derivatives, loans, commodities, currencies, credit default swaps and other financial instruments for their own account and for the accounts of their customers, and such investment and trading activities may involve or relate to assets, securities and/or instruments of the Issuer (directly, as collateral securing other obligations or otherwise) and/or persons and entities with relationships with the Issuer. The Underwriters and their affiliates may also communicate independent investment recommendations, market color or trading ideas and/or publish or express independent research views in respect of such assets, securities or instruments and may at any time hold, or recommend to clients that they should acquire, long and/or short positions in such assets, securities and instruments.

From time to time, Bond Counsel has represented the Underwriters in other unrelated transactions, and may do so from time to time in the future. From time to time, counsel to the Issuer has represented the Underwriters and the Company in other unrelated transactions, and may do so from time to time in the future.

RATINGS

The Bonds are rated "Caa2" (negative outlook) by Moody's Investors Service, Inc. ("Moody's") and "B-" by S&P Global Ratings ("S&P"). Such ratings reflect only the view of Moody's or S&P and any explanation of the significance of such ratings must be obtained from Moody's or S&P. There is no assurance that any such rating will continue for any given period of time or that it will not be revised or withdrawn entirely if, in the judgment of Moody's or S&P, circumstances so warrant. A revision, suspension, or withdrawal of a rating may have an adverse effect on the market price of the Bonds.

UNDERWRITING

The Bonds are being purchased by BofA Securities, Inc., Morgan Stanley & Co. LLC, Wells Fargo Securities, LLC, Barclays Capital Inc., Citigroup Global Markets Inc., Fifth Third Securities, Inc., Goldman Sachs & Co. LLC and Truist Securities, Inc. (collectively, the "Underwriters"), from the Issuer at a purchase price of $62,982,788.11 (equal to the par amount of the Bonds minus the Underwriters' discount of $417,211.89), subject to the terms of a Bond Purchase Agreement entered into among the Underwriters, the Company and the Issuer. The Underwriters have committed to purchase all of the Bonds if any of the Bonds are purchased. The Bonds may be offered and sold to dealers, including the Underwriters and dealers acquiring the Bonds for their own account or an account managed by them, at prices lower than the public offering price. The obligation of the Underwriters to purchase the Bonds is subject to various conditions set forth in the Bond Purchase Agreement. Pursuant to the Bond Purchase Agreement, the Company has agreed to reimburse the Underwriters for certain expenses they incurred in connection with the purchase and sale of the Bonds and to indemnify the Underwriters against certain liabilities to the extent permitted by law.

BofA Securities, Inc., an underwriter of the Bonds, has entered into a distribution agreement with its affiliate Merrill Lynch, Pierce, Fenner & Smith Incorporated ("MLPF&S"). As part of this

arrangement, BofA Securities, Inc. may distribute securities to MLPF&S, which may in turn distribute such securities to investors through the financial advisor network of MLPF&S. As part of this arrangement, BofA Securities, Inc. may compensate MLPF&S as a dealer for their selling efforts with respect to the Bonds.

Morgan Stanley, parent company of Morgan Stanley & Co. LLC, an underwriter of the Bonds, has entered into a retail distribution arrangement with its affiliate Morgan Stanley Smith Barney LLC. As part of the distribution arrangement, Morgan Stanley & Co. LLC may distribute municipal securities to retail investors through the financial advisor network of Morgan Stanley Smith Barney LLC. As part of this arrangement, Morgan Stanley & Co. LLC may compensate Morgan Stanley Smith Barney LLC for its selling efforts with respect to the Bonds.

Truist Securities, Inc. ("TSI"), an underwriter of the Bonds, has entered into an agreement (the "Distribution Agreement") with SunTrust Investment Services, Inc. ("STIS") for the retail distribution of certain municipal securities offerings, including the Bonds. Pursuant to the Distribution Agreement, TSI will share a portion of its underwriting or remarketing agent compensation, as applicable, with respect to the Bonds with STIS. TSI and STIS are both subsidiaries of Truist Financial Corporation.

Wells Fargo Securities is the trade name for certain securities-related capital markets and investment banking services of Wells Fargo & Company and its subsidiaries, including Wells Fargo Securities, LLC, member NYSE, FINRA, NFA, and SIPC. Wells Fargo Securities, LLC ("WFSLLC"), an underwriter of the Bonds, has entered into an agreement (the "WFA Distribution Agreement") with its affiliate, Wells Fargo Clearing Services, LLC (which uses the trade name "Wells Fargo Advisors") ("WFA") for the distribution of certain municipal securities offerings, including the Bonds. Pursuant to the WFA Distribution Agreement, WFSLLC will share a portion of its underwriting or remarketing agent compensation, as applicable, with respect to the Bonds with WFA. WFSLLC has also entered into an agreement (the "WFBNA Distribution Agreement") with its affiliate, Wells Fargo Bank, N.A., acting through its Municipal Finance Group ("WFBNA"), for the distribution of municipal securities offerings, including the Bonds. Pursuant to the WFBNA Distribution Agreement, WFBNA pays a portion of WFSLLC's expenses based on its municipal securities transactions. WFBNA, WFSLLC, and WFA are each wholly-owned subsidiaries of Wells Fargo & Company.

CONTINUING DISCLOSURE

With respect to the Bonds, the Company will enter into a Continuing Disclosure Agreement dated the date of delivery of the Bonds under which the Company will undertake (the "Undertaking") for the benefit of the Holders and beneficial owners of the Bonds to provide certain financial information and operating data relating to the Company to the Municipal Securities Rulemaking Board and to provide notice to the Municipal Securities Rulemaking Board of the occurrence of certain enumerated events, pursuant to the requirements of Section (b)(5)(i) of Securities and Exchange Commission Rule 15c2–l2 (17 C.F.R. § 240.l5c2–12) (the "Rule"). Reference is made to the Continuing Disclosure Agreement for the detailed provisions thereof. See "APPENDIX C — FORM OF CONTINUING DISCLOSURE AGREEMENT."

A failure by the Company to comply with an Undertaking will not constitute an event of default under the Agreement or the Indenture, although any Holder or any beneficial owner of the Bonds may bring action to compel the Company to comply with its obligations under such Undertaking. Any such failure must be reported in accordance with the Rule and must be considered by any broker, dealer or municipal securities dealer before recommending the purchase or sale of the Bonds in the secondary market. Consequently, such a failure may adversely affect the transferability and liquidity of the Bonds and their market price.

In addition, the Company is subject to the informational requirements of the Securities Exchange Act of 1934, and information about the Company is available as set forth in Appendix A to this Official Statement.

The Issuer has no responsibility to any person with respect to the provision of such information about the Company, and, because the Bonds are special and limited obligations of the Issuer, the annual financial information and operating data of the Issuer are not material in connection with the Bonds.

Separate and apart from the Bonds and the Indiana Bonds, the Company has issued and currently has outstanding other bonds which are subject to the Rule. Pursuant to its existing continuing disclosure agreements with respect to such other bonds, the Company has covenanted to provide notices of occurrence of certain enumerated events. However, the Company did not timely file notices of (1) rating downgrades of certain bonds resulting from a rating downgrade of the Company by Fitch Ratings Inc. ("Fitch") that occurred in 2016, and (2) rating upgrades of certain bonds resulting from rating upgrades of the Company by Fitch that occurred in 2017 and 2018 (these rating changes occurred during periods when Fitch was rating the Company on an unsolicited basis). The Company posted notices of these rating changes on EMMA on October 8, 2019.

The Company's failure to timely file notices of rating changes as described above is a violation of its contractual continuing disclosure obligations but it does not constitute an event of default under any of its outstanding bonds. The Company has implemented procedures to facilitate future compliance.

MISCELLANEOUS

The foregoing summaries and explanations do not purport to be comprehensive and are expressly made subject to the exact provisions of the complete documents referred to herein. For details of all terms and conditions, prospective purchasers are referred to the Agreement and the Indenture, copies of which may be obtained from the Company. The Appendices attached hereto are a part of this Official Statement. Any matters in this Official Statement involving matters of opinion, whether or not expressly so stated, are intended as such and not as representations of fact.

This Official Statement has been approved for use by the Issuer and by the Company.

APPENDIX A

UNITED STATES STEEL CORPORATION

United States Steel Corporation (the "Company") is an integrated steel producer of flat-rolled and tubular products with major production operations in the United States and Europe. An integrated steel producer uses iron ore and coke as primary raw materials for steel production. The Company has annual raw steel production capability of 22.0 million net tons (17.0 million tons in the United States and 5.0 million tons in Europe). The Company supplies customers throughout the world primarily in the automotive, construction, consumer (packaging and appliance), electrical, industrial equipment, and energy (oil country tubular goods (OCTG) and line pipe) markets. According to the World Steel Association's latest published statistics, in 2018 the Company was the third largest steel producer in the United States and the twenty-sixth largest steel producer in the world. The Company is also engaged in other business activities consisting primarily of railroad services and real estate operations. The Company is a Delaware corporation established in 1901.

AVAILABLE INFORMATION

The Company files annual, quarterly and other reports and other information with the SEC. The SEC maintains an Internet site (www.sec.gov) that contains reports and other information regarding issuers that file electronically with the SEC, including the Company.

INCORPORATION OF CERTAIN DOCUMENTS BY REFERENCE

The following documents filed with the SEC are incorporated herein by reference:

1. The Company's Annual Report on Form 10-K for the year ended December 31, 2019;

2. The Company's Quarterly Reports on Form 10-Q for the quarters ended March 31, 2020, June 30, 2020 and September 30, 2020;

3. The Company's Current Report on Form 8-K filed and furnished on October 29, 2020 pertaining to Item 7.01, including all exhibits filed in connection therewith; and

4. The Company's proxy statement for its 2020 annual meeting of stockholders filed pursuant to the Exchange Act.

The prospective financial data disclosed in the Form 8-K filed October 29, 2020, incorporated by reference in this document, has been prepared by, and is the responsibility of, the Company's management. PricewaterhouseCoopers LLP has not audited, reviewed, examined, compiled, or applied agreed-upon procedures with respect to the prospective financial data. Accordingly, PricewaterhouseCoopers LLP does not express an opinion or any other form of assurance with respect thereto.

All documents filed by the Company with the SEC pursuant to Sections 13(a), 13(c), 14 or 15(d) of the Exchange Act subsequent to the date of this Official Statement (other than any documents or portions of documents not deemed to be filed) and prior to the termination of the offering of all of the Bonds covered by this Official Statement shall be deemed to be incorporated by reference in this Appendix A and to be a part hereof from the date of filing of such documents. Except for Item 7.01 furnished under the Form 8-K filed October 29, 2020 (and the corresponding information furnished under Item 9.01 or included as an exhibit), the Company is not incorporating by reference any information furnished under Items 2.02, 7.01

or 8.01 (or corresponding information furnished under Item 9.01 or included as an exhibit) in any past or future current report on Form 8-K that the Company files with the SEC, unless otherwise specified in such current report.

Any statement contained in a document incorporated or deemed to be incorporated by reference herein will be deemed to be modified or superseded for purposes of this Official Statement to the extent that a statement contained herein or in any subsequently filed document which is deemed to be incorporated by reference herein modifies or supersedes that statement. Any statement so modified or superseded shall not be deemed, except as so modified or superseded, to constitute part of this Official Statement.

The Company will provide without charge to each person to whom this Official Statement is delivered, upon written or oral request of any such person, a copy of any or all of the documents referred to above that have been or may be incorporated by reference in this Appendix A, excluding the exhibits thereto. Requests for such copies should be directed to the Office of the Corporate Secretary, United States Steel Corporation, 600 Grant Street, 18th Floor, Pittsburgh, Pennsylvania 15219-2800 (telephone: 412-433-1121).

RISK FACTORS

Before purchasing the Bonds, investors should carefully consider the risk factors described in the Company's annual, quarterly and current reports filed with the SEC under the Exchange Act, which are incorporated by reference in this Appendix A, together with the other information incorporated by reference or provided in this Official Statement in order to evaluate an investment in the Bonds.

RECENT DEVELOPMENTS

Big River Steel was successful in obtaining the consent of the holders of the 2019 BRS Bonds to an amendment to the 2019 Bond Financing Agreement executed in connection with the issuance of the 2019 BRS Bonds and related documents to include USS Holdco as a permitted holder under the 2019 Bond Financing Agreement. As a result, the potential exercise of the US Steel Option will no longer trigger a change of control with respect to the 2019 BRS Bonds and the holders of the 2019 BRS Bonds will no longer have the right to require the repurchase of the 2019 BRS Bonds. The Company will not be required to refinance such portion of Big River Steel's indebtedness at a premium should the Company elect to exercise the US Steel Option.

OUTSTANDING USS TAX EXEMPT MUNICIPAL BONDS

As of the date of this Official Statement, the following USS tax exempt municipal bonds are outstanding:

CUSIP*	Conduit Issuer	AMT Status	Bullet Maturity	Interest Rate	Optional Redemption	Issue Size ($)
01730PAA7	Allegheny County IDA, Pennsylvania	Non-AMT	11/01/2024	4.875%	Non-callable	59,600,000
01730PAB5	Allegheny County IDA, Pennsylvania	Non-AMT	05/01/2030	5.125%	Non-callable	33,030,000
455054AM8	Indiana Finance Authority	Non-AMT	12/01/2026	6.000%	6/1/2020 @ 100	88,810,000
017292XG3	Allegheny County IDA, Pennsylvania	Non-AMT	12/01/2027	6.550%	12/1/2021 @ 100	13,580,000

017292XF5	Allegheny County IDA, Pennsylvania	Non-AMT	12/01/2027	6.750%	12/1/2021 @ 100	15,000,000
118615AF0	Bucks County IDA, Pennsylvania	Non-AMT	06/01/2026	6.750%	12/1/2021 @ 100	19,460,000
677656AC4	Ohio Water Development Authority	Non-AMT	05/01/2029	6.600%	11/1/2021 @ 100	21,800,000
455054AT3	Indiana Finance Authority	AMT	08/01/2042	5.750%	8/1/2022 @ 100	29,000,000
017292XM0	Allegheny County IDA, Pennsylvania	AMT	08/01/2042	5.750%	8/1/2022 @ 100	24,995,000
84552TAB8	Southwestern Illinois Development Authority	AMT	08/01/2042	5.750%	8/1/2022 @ 100	40,000,000
439241AA8	IDB of City of Hoover (Alabama)	AMT	10/01/2049	5.75%	10/01/2029 @ 100	275,000,000
					Total	***620,275,000***

* CUSIP is a registered trademark of American Bankers Association. The CUSIP numbers set forth herein are provided by CUSIP Global Services LLC, managed on behalf of the American Bankers Association by S&P Global Market Intelligence, a division of S&P Global Inc. The CUSIP numbers set forth herein are included solely for convenience and none of the Company, the Issuer, the Trustee or the Underwriters make any representation as to the correctness of, nor shall any of them be responsible for, the accuracy of the CUSIP numbers set forth herein.

[THIS PAGE INTENTIONALLY LEFT BLANK]

APPENDIX B

PROPOSED FORM OF OPINION OF BOND COUNSEL

Opinion of Kutak Rock LLP, Bond Counsel

[To be dated the date of the Bonds]

United States Steel Corporation
600 Grant Street
Pittsburgh, Pennsylvania 15219

$63,400,000
The Industrial Development Board of the City of Hoover
Environmental Improvement Revenue Bonds, Series 2020
(United States Steel Corporation Project)
(Green Bonds)

Ladies and Gentlemen:

We have acted as bond counsel to you in connection with the issuance and sale by The Industrial Development Board of the City of Hoover (the "Issuer") of its $63,400,000 Environmental Improvement Revenue Bonds, Series 2020 (United States Steel Corporation Project) (Green Bonds) (the "Bonds"). The Bonds are being issued pursuant to a Trust Indenture dated as of November 1, 2020 (the "Indenture") between the Issuer and The Bank of New York Mellon Trust Company, N.A., as trustee (the "Trustee"), the provisions of Title 11, Chapter 54, Article 4 (Section 11-54-80, et seq.), Code of Alabama 1975, as amended (the "Act"), and a resolution of the Issuer adopted October 26, 2020 (the "Bond Resolution"). Capitalized terms used herein and not otherwise defined shall have the meanings specified in the Indenture.

The proceeds of the Bonds will be used to finance or refinance the costs of the acquisition, construction, equipping and installation of certain solid waste disposal facilities constituting pollution control facilities under the Act (the "Project Facilities"). The Project Facilities will be sold by the Issuer to United States Steel Corporation, a Delaware corporation (the "Company"), for use by the Company at its Fairfield Works Mill, located in unincorporated Jefferson County, Alabama (the "County") within 25 miles of the City of Hoover, Alabama (the "City"), pursuant to an Agreement of Sale dated as of November 1, 2020 (the "Sale Agreement") between the Issuer and the Company. The Company has agreed under the Sale Agreement to make Installment Payments to the Trustee, on behalf of the Issuer, sufficient to pay the principal or redemption price of, and interest on, the Bonds on each date on which any payment of principal, redemption price or interest on the Bonds becomes due.

The Bonds are issuable as fully registered Bonds in denominations of $5,000 and any integral multiple thereof, are dated the date hereof, mature on November 1, 2050, bear interest as determined from time to time in the manner set forth in the Bonds and the Indenture and are subject to mandatory tender for purchase, redemption prior to maturity and purchase in lieu of redemption at the times, in the manner and upon the terms and conditions set forth in the Bonds and the Indenture.

In connection with the issuance of the Bonds, we have examined the following:

1. The Act and such other laws as we deem relevant to this opinion.

2. Certified copies of proceedings of the board of directors of the Issuer, preliminary to and in connection with the issuance of the Bonds, authorizing, among other things, the following:

(a) The execution and delivery of the Indenture.

(b) The execution and delivery of the Sale Agreement.

(c) The execution and delivery of the Tax Regulatory Agreement (the "Tax Agreement"), dated the date hereof, between the Issuer and the Company.

(d) The issuance, sale and delivery of the Bonds.

3 Evidence of the approval of the Project Facilities and the Bonds by the County Commission of the County and the Mayor of the City.

4. Evidence of sufficient allocation of Alabama state volume cap to the Bonds.

5. Executed counterparts of the Indenture, the Sale Agreement and the Tax Agreement.

6. The form of bond prescribed for said issue.

7. Certifications of the Company with respect to certain material facts regarding qualification of the Project Facilities as solid waste disposal facilities within the meaning of Section 142(a)(6) of the Internal Revenue Code of 1986, as amended (the "Code"), and regulations proposed or promulgated thereunder as of the date hereof.

8. The opinion of even date herewith of Bradley Arant Boult Cummings LLP, counsel for the Issuer, delivered concurrently with this opinion.

9. The opinion of even date herewith of Mark Furry, Associate General Counsel – Corporate of the Company, delivered concurrently with this opinion.

10. The opinion of even date herewith of Burr & Forman LLP, Alabama counsel for the Company, delivered concurrently with this opinion.

11. Such other matters and documents as we deem necessary for purposes of this opinion.

We have assumed the accuracy and truthfulness of all public records and of all certifications, documents, written opinions and other proceedings provided to us, the authenticity of all documents submitted to us as originals, the genuineness of all signatures appearing on documents we have examined, the conformity to the originals of all documents submitted to us as certified or photostatic copies and the legal capacity of natural persons executing all executed documents.

As to questions of fact material to our opinions, we have relied upon the certified proceedings and other certifications of public officials furnished to us and certain representations and covenants made by

the Company and the Issuer in the Sale Agreement, the Indenture and the Tax Agreement, without undertaking to verify any of the foregoing by independent investigation.

From such examination, we are of the opinion that, under existing laws, regulations, rulings and judicial decisions:

1. The Issuer is a public corporation duly organized and existing under the laws of the State of Alabama (the "State"). The Issuer has the power and authority under the Act to issue the Bonds, to enter into the Indenture and the Sale Agreement, to apply the proceeds of the Bonds in the manner described in the Indenture and to pledge and assign to the Trustee the Pledged Receipts pursuant to the Indenture.

2. The Bonds, in the amount named, have been validly authorized, executed and issued by the Issuer and, subject to the last paragraph hereof, constitute valid and binding special, limited obligations of the Issuer payable solely from and secured by the amounts available under the Sale Agreement that have been pledged and assigned under the Indenture for payment of the Bonds and from other amounts and sources of revenues held under the Indenture and pledged therefor. The Bonds do not constitute an indebtedness of the City, the County, the State or any political subdivision thereof within the meaning of any State constitutional or statutory provision, nor constitute or give rise to a pecuniary liability of the City, the County or the State or a charge against their general credit or taxing power. The Issuer has no taxing power.

3. The Indenture, the Sale Agreement and the Tax Agreement have been duly authorized, executed and delivered by the Issuer and, assuming the due authorization, execution and delivery thereof by the Trustee and the Company, as the case may be, constitute valid and binding agreements of the Issuer enforceable against the Issuer in accordance with their respective terms, subject to the last paragraph hereof.

4. Subject to the assumption and in reliance upon the representations and certifications stated below, interest on the Bonds is excludable from gross income for federal income tax purposes, except for interest on any Bond for any period during which such Bond is held by a "substantial user" of the Project Facilities or a "related person" (within the meaning of Section 147(a) of the Code); however, such interest on the Bonds is included as an item of tax preference in computing the federal alternative minimum tax for individuals.

5. The Bonds and the income therefrom are exempt from all taxation in the State. We express no opinion regarding other tax consequences arising with respect to the Bonds under the laws of the State or any other state or any local jurisdiction.

The Code imposes certain requirements which must be met on a continuing basis subsequent to the issuance of the Bonds for interest thereon to be excluded from gross income for federal income tax purposes. In rendering the opinions expressed herein, we have assumed continuing compliance with the covenants of the Issuer and the Company in the Sale Agreement, the Indenture and the Tax Agreement pertaining to those sections of the Code which affect the exclusion from gross income of interest on the Bonds for federal income tax purposes and, in addition, we have relied upon representations and certifications by the Issuer and the Company with respect to certain material facts within the knowledge of the Issuer and the Company, which we have not independently verified. If the Issuer or the Company should fail to comply with such covenants, or if the representations or certifications relied upon should be determined to be inaccurate or incomplete, interest on the Bonds could become includable in gross income for federal income tax purposes retroactively to the date of issuance of the Bonds.

Although the interest on the Bonds is excluded from gross income for federal income tax purposes, the accrual or receipt of interest on the Bonds may otherwise affect the federal income tax liability of the recipient. The extent of these other tax consequences will depend upon the recipient's particular tax status or other items of income or deduction. We express no opinion regarding any such consequences.

We express no opinion herein as to the accuracy, adequacy or completeness of the Official Statement relating to the Bonds.

Our opinions represent our legal judgment based upon our review of the law and the facts that we deem relevant to render such opinions and are not a guarantee of a result. The opinions expressed herein are given as of the date hereof based upon laws, regulations, rulings and judicial decisions in effect on the date hereof and we assume no obligation to revise or supplement such opinions to reflect any facts or circumstances that may hereafter come to our attention or any changes in law that may hereafter occur. Each purchaser of the Bonds should consult his, her or its tax advisor regarding the status of any pending or proposed legislation.

It is to be understood that the rights of the holders of the Bonds and the enforceability of the Bonds, the Indenture, the Sale Agreement, the Tax Agreement and other related financing documents may be subject to bankruptcy, insolvency, reorganization, receivership, moratorium and other similar laws affecting creditors' rights and remedies heretofore or hereafter enacted to the extent constitutionally applicable and that their enforcement may also be subject to equitable principles and the exercise of judicial discretion in appropriate cases.

Very truly yours,

APPENDIX C

FORM OF CONTINUING DISCLOSURE AGREEMENT

This Continuing Disclosure Agreement (this "Agreement") is executed and delivered by United States Steel Corporation (the "Company") in consideration of the issuance and sale of The Industrial Development Board of the City of Hoover (Alabama) (the "Issuer") Environmental Improvement Revenue Bonds, Series 2020 (United States Steel Corporation Project) (Green Bonds) (the "Bonds") in the aggregate principal amount of $63,400,000.

Section 1. The Company does hereby covenant and agree and enter into a written undertaking for the benefit of the Holders and beneficial owners of the Bonds required by Section (b)(5)(i) of Securities and Exchange Commission Rule 15c2–12 under the Securities Exchange Act of 1934, as amended (17 C.F.R. § 240.15c2–l2) (the "Rule"). Capitalized terms used in this Agreement and not otherwise defined herein shall have the respective meanings assigned to such terms in the Trust Indenture (the "Indenture") dated as of November 1, 2020 between the Issuer and The Bank of New York Mellon Trust Company, N.A., as trustee (the "Trustee"). It being the intention of the Company that there be compliance with the Rule, this Agreement shall be construed in accordance with the written interpretative guidance and no-action letters published from time to time by the Securities and Exchange Commission and its staff with respect to the Rule.

Section 2. The Company undertakes to provide the following information as provided in this Agreement:

(a) Annual Financial Information;

(b) Annual Green Bonds Certificate;

(c) Audited Financial Statements, if any; and

(d) Material Event Notices.

Section 3.

(a) The Company shall, while any Bonds are Outstanding, provide the Annual Financial Information on or before the date which is 120 days after the end of each fiscal year of the Company (the "Report Date") to the Municipal Securities Rulemaking Board (the "MSRB") in an electronic format accompanied by identifying information as prescribed by the MSRB. The Company shall include with each submission of Annual Financial Information a written statement to the effect that the Annual Financial Information is the Annual Financial Information required by this Agreement and that it complies with the applicable requirements of this Agreement and that it has been provided to the MSRB. If the Company changes its fiscal year, it shall provide written notice of the change of fiscal year to the MSRB. It shall be sufficient if the Company provides to the MSRB any or all of the Annual Financial Information by specific reference to documents previously provided to the MSRB or filed with the Securities and Exchange Commission and, if such a document is a final official statement within the meaning of the Rule, available from the MSRB.

(b) If not provided as part of the Annual Financial Information, the Company shall provide the Audited Financial Statements when and if available while any Bonds are Outstanding to the MSRB.

(c) The Company shall, while any Bonds are Outstanding, provide the Annual Green Bonds Certificate on or before the date which is 180 days after the end of each fiscal year of the Company, commencing with the fiscal year ending December 31, 2021, to the MSRB in an electronic format accompanied by identifying information as prescribed by the MSRB. The Company shall include with each submission of the Annual Green Bonds Certificate a written statement to the effect that the Annual Green Bonds Certificate is the Annual Green Bonds Certificate required by this Agreement and that it complies with the applicable requirements of this Agreement and that it has been provided to the MSRB. Once the Company has spent all of the proceeds of the Bonds, it will submit a final certificate to the MSRB that includes a statement that all of the proceeds of the Bonds have been spent. Thereafter, the Company will no longer be obligated to provide the certificate to the MSRB.

(d) If a Material Event occurs while any Bonds are Outstanding, the Company shall provide a Material Event Notice in a timely manner, not in excess of 10 business days after the occurrence of the event, to the MSRB. Each Material Event Notice shall be so captioned and shall prominently state the date, title and CUSIP numbers of the Bonds.

(e) The Company shall provide in a timely manner to the MSRB notice of any failure by the Company while any Bonds are Outstanding to provide to the MSRB Annual Financial Information on or before the Report Date.

(f) Any filing or report under this Agreement may be made solely by transmitting such filing or report to the MSRB in an electronic format accompanied by identifying information as prescribed by the MSRB.

Section 4. The following are the definitions of the capitalized terms used in this Agreement not otherwise defined in this Agreement or the Indenture:

(a) "*Annual Financial Information*" means the financial information or operating data with respect to the Company, provided at least annually, of the type incorporated by reference under "APPENDIX A — UNITED STATES STEEL CORPORATION" of the final Official Statement dated November 12, 2020 with respect to the Bonds. The consolidated financial statements included in the Annual Financial Information shall be prepared in accordance with generally accepted accounting principles ("GAAP") as prescribed by the Financial Accounting Standards Board ("FASB"). Such consolidated financial statements may, but are not required to be, Audited Financial Statements.

(b) "*Annual Green Bonds Certificate*" means a certificate that includes a description of the costs of the Project Facilities funded with the Bonds and the amount of Bond proceeds so applied and stating to the effect that no changes have been made to the Project Facilities that would reasonably be expected to materially adversely affect the environmental benefits of the Project Facilities.

(c) "*Audited Financial Statements*" means the Company's annual consolidated financial statements, prepared in accordance with GAAP as prescribed by FASB, which consolidated financial statements shall have been audited by an independent auditor or firm of independent auditors as shall be then retained by the Company.

(d) "*Financial Obligation*" means a (i) a debt obligation; (ii) derivative instrument entered into in connection with, or pledged as security or a source of payment for, an existing or planned debt obligation; or (iii) guarantee of (i) or (ii). The term "Financial Obligation" shall not

include municipal securities as to which a final official statement has been provided to the MSRB consistent with the Rule.

(e) "*Material Event*" means any of the following events with respect to the Bonds:

1. Principal and interest payment delinquencies;

2. Nonpayment-related defaults, if material;

3. Unscheduled draws on debt service reserves reflecting financial difficulties;

4. Unscheduled draws on credit enhancements reflecting financial difficulties;

5. Substitution of credit or liquidity providers, or their failure to perform;

6. Adverse tax opinions, the issuance by the Internal Revenue Service of proposed or final determinations of taxability, Notices of Proposed Issue (IRS Form 5701-TEB) or other material notices or determinations with respect to the tax status of the security, or other material events affecting the tax status of the security;

7. Modifications to rights of security holders, if material;

8. Bond calls, if material, and tender offers;

9. Defeasances;

10. Release, substitution or sale of property securing repayment of the securities, if material;

11. Rating changes;

12. Bankruptcy, insolvency, receivership or similar event of United States Steel Corporation;[†]

13. The consummation of a merger, consolidation or acquisition involving United States Steel Corporation or the sale of all or substantially all of the assets of United States Steel Corporation, other than in the ordinary course of business, the entry into a definitive agreement to undertake such an action or the termination of a definitive agreement relating to any such actions, other than pursuant to its terms, if material;

[†] This event is considered to occur when any of the following occur: the appointment of a receiver, fiscal agent or similar officer for United States Steel Corporation in a proceeding under the U.S. Bankruptcy Code or in any other proceeding under state or federal law in which a court or governmental authority has assumed jurisdiction over substantially all of the assets or business of United States Steel Corporation, or if such jurisdiction has been assumed by leaving the existing governing body and officials or officers in possession but subject to the supervision and orders of a court or governmental authority, or the entry of an order confirming a plan of reorganization, arrangement or liquidation by a court or governmental authority having supervision or jurisdiction over substantially all of the assets or business of United States Steel Corporation.

14. Appointment of a successor or additional trustee or the change of name of a trustee, if material;

15. The incurrence of Financial Obligation of United States Steel Corporation, if material, or agreement to covenants, events of default, remedies, priority rights or other similar terms of a Financial Obligation, any of which affect security holders, if material; and

16. Default, event of acceleration, termination event, modification of terms or other similar events under a Financial Obligation of United States Steel Corporation, if any such event reflects financial difficulties.

(f) "*Material Event Notice*" means electronic notice of a Material Event.

(g) "*MSRB*" means the Municipal Securities Rulemaking Board. On July 1, 2009, the MSRB became the sole repository to which the Company must electronically submit Annual Financial Information, Audited Financial Statements, if any, and Material Event Notices pursuant to this Agreement. Reference is made to Securities and Exchange Commission Release No. 34 59062, December 8, 2008 (the "Release") relating to the MSRB's Electronic Municipal Market Access ("EMMA") system for municipal securities disclosure, which became effective on July 1, 2009. To the extent applicable to this Agreement, the Company shall comply with the Release and with EMMA, as amended or supplemented from time to time.

Section 5.

(a) The continuing obligation hereunder of the Company to provide Annual Financial Information, the Annual Green Bonds Certificate, Audited Financial Statements, if any, and Material Event Notices shall terminate immediately once the Bonds no longer are Outstanding. This Agreement, or any provision hereof, shall be null and void if the Company obtains an opinion of nationally recognized bond counsel to the effect that those portions of the Rule which require this Agreement, or any such provision, are invalid, have been repealed retroactively or otherwise do not apply to the Bonds, provided that the Company shall have provided notice of such delivery and the cancellation of this Agreement to the MSRB.

(b) This Agreement may be amended, without the consent of the Bondholders, but only upon the Company obtaining and providing to the Trustee an opinion of nationally recognized bond counsel to the effect that such amendment, and giving effect thereto, will not adversely affect the compliance of this Agreement and by the Company with the Rule, provided that the Company shall have provided notice of such delivery and of the amendment to the MSRB. Any such amendment shall satisfy, unless otherwise permitted by the Rule, the following conditions:

(i) The amendment may only be made in connection with a change in circumstances that arises from a change in legal requirements, change in law or change in the identity, nature or status of the Company or type of business conducted;

(ii) This Agreement, as amended, would have complied with the requirements of the Rule at the time of the primary offering, after taking into account any amendments or interpretations of the Rule, as well as any change in circumstances; and

(iii) The amendment does not materially impair the interests of Bondholders, as determined either by parties unaffiliated with the Company (such as nationally recognized bond counsel) or by approving vote of Bondholders pursuant to the terms of the Indenture at the time of the amendment.

The initial Annual Financial Information after the amendment shall explain, in narrative form, the reasons for the amendment and the effect of the change, if any, in the type of operating data or financial information being provided.

(c) The Company shall not transfer its obligations under the Agreement unless the transferee agrees to assume all obligations of the Company hereunder or to execute a continuing disclosure undertaking under the Rule.

Section 6. Any failure by the Company to perform in accordance with this Agreement shall not constitute an Event of Default with respect to the Bonds. If the Company fails to comply herewith, any Holder or beneficial owner may take such actions as may be necessary and appropriate, including seeking specific performance by court order, to cause the Company to comply with its obligations hereunder.

Section 7. This Agreement shall be governed by and construed in accordance with the laws of the State of New York.

Dated: _____ ____, 2020

UNITED STATES STEEL CORPORATION

By: _____
Authorized Signatory

Acknowledged this ____ day of_____, 2020

THE BANK OF NEW YORK MELLON TRUST COMPANY, N.A., as Trustee

By: _____
Authorized Signatory

[THIS PAGE INTENTIONALLY LEFT BLANK]

[THIS PAGE INTENTIONALLY LEFT BLANK]

[THIS PAGE INTENTIONALLY LEFT BLANK]

Mixed Sources
Product group from well managed forests, controlled sources and recycled wood or fiber.

Printed by: ImageMaster, LLC
www.imagemaster.com